

TENTATIVE RULINGS**DEPT W15****JUDGE RICHARD Y. LEE**

Date: July 30, 2026

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's [website](#) for rules and procedures for court reporters obtained by the Parties.

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5915. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Do not call the department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling. The Court interprets a party's failure to appear at the hearing as a waiver of oral argument.

Remote Appearances: Department W15 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely:* (1) all counsel and self-represented parties appearing for such hearings **must**, prior to 1:30 p.m. on Thursday, check-in online via the Court's civil video appearance website ([link here](#)); and (2) participants will then be prompted to join the courtroom's Zoom hearing session.

Local Rule 375(c): Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." ([Local Rule 375\(c\)](#)) Specifically, the video and audio must be turned on and functioning during the hearing; and attorneys are expected to wear appropriate business attire.

#		
100	Puliyanda vs. Montage Hotels and Resorts, LLC, 24-01398168	<i>Off-calendar.</i>
101	Doe vs. City of Santa Ana, 24-01405644	Defendant City of Santa Ana ("Defendant") moves to compel plaintiff Jane Doe ("Plaintiff") to appear for her deposition. Defendant Uriel Matias's Joinder is GRANTED. Here, Defendant noticed Plaintiff's deposition for January 27, 2025 and agreed to take it off calendar upon Plaintiff's counsel's request to reschedule. The deposition was rescheduled for the mutually agreeable date of October 1,

		2025 but the parties again agreed to postpone the deposition. Defendant thereafter re-noticed the deposition and, upon receiving Plaintiff's objection, asked for available dates several times. Plaintiff's counsel informed Defendant's counsel that Plaintiff would not be produced pursuant to the pending Motion to Be Relieved as Counsel. Defendant has properly noticed Plaintiff's deposition several times and its repeated requests for alternate available dates have gone ignored. Plaintiff has no valid objection upon which her refusal to appear for deposition is based. Thus, the Motion to Compel Deposition is GRANTED. In light of the September 21, 2026 trial date, Plaintiff is ORDERED to appear for deposition within 30 days upon notice of this order. <i>Moving party to give notice.</i>
102	Allen v. Airbnb, Inc., 23-01360634	Defendant Ali Mojaverian ("Defendant Mojaverian") demurs to all eight causes of action in Plaintiffs Victoria Allen and Jeffrey Allen's ("Plaintiffs") First Amended Complaint ("FAC") and moves to strike various allegations stated on information and belief and related to punitive damages. The demurrer and motion to strike are unopposed. Defendant Mojaverian is alleged to own, operate and manage the "second Subject Airbnb" identified in the FAC. (FAC ¶ 9.) As to Defendant Mojaverian, all of the causes of action are tied to the allegation that "[o]n information and belief, prior to Plaintiffs' placement into and occupancy of the second Subject Airbnb, Defendant MOJAVERIAN knew, was on notice, and/or in the exercise of reasonable care should have known that the second Subject Airbnb had bedbug activity and/or a substantial risk of bedbug infestation, and that reasonable inspection and treatment between occupancies was necessary to protect guests from exposure." (FAC ¶¶ 49, 99, 110, 128, 140, 157, 174, 184, 195.) However, elsewhere in the FAC, Plaintiffs allege that "Plaintiffs' personal items were left inside of the second Subject Airbnb in open mesh net bags while Plaintiffs were absent. Plaintiffs were unaware someone would access the Airbnb property when they were absent. Due to the unprofessional cleaning of Plaintiffs' personal items, the personal items were not sanitized as represented by TOWER 17 PROPERTIES & MANAGEMENT LLC and relied upon by Plaintiffs, causing bedbugs to be transferred from the first Subject Airbnb to the second Subject Airbnb." (FAC ¶ 47.) Accordingly, based on Plaintiffs' own pleading, the bedbugs were transferred to Defendant Mojaverian's property (the second Subject Airbnb) via the delivery of Plaintiffs' personal belongings from the first Subject Airbnb. Due to this

		admission, there was no failure on the part of Defendant Mojaverian to provide premises that were free of bedbugs. Further, the Court construes Plaintiffs' failure to oppose the demurrer and motion to strike as an abandonment of Plaintiffs' claims or an admission that the demurrer and motion to strike have merit. (<i>See Herzberg v. County of Plumas</i> (2005) 133 Cal.App.4th 1, 20 ["Plaintiffs did not oppose the County's demurrer to this portion of their seventh cause of action and have submitted no argument on the issue in their briefs on appeal. Accordingly, we deem plaintiffs to have abandoned the issue"].) In addition, it is axiomatic the failure to challenge a contention in a brief results in the concession of that argument. (<i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue"]; <i>Westside Center Associates v. Safeway Stores 23, Inc.</i> (1996) 42 Cal.App.4th 507, 529 ["failure to address the threshold question ... effectively concedes that issue and renders its remaining arguments moot"]; <i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal.App.4th 1409, 1424 [issue is impliedly conceded by failing to address it].) Having filed no opposition, Plaintiffs have not demonstrated how they could amend the pleading to set forth any claim against Defendant Mojaverian. Accordingly, the demurrer is SUSTAINED as to all eight causes of action without leave to amend. In light of this ruling, Defendant's Motion to Strike is MOOT. The Case Management Conference is vacated. <i>Defendant Mojaverian to give notice and prepare a judgment of dismissal.</i>
103	Iorio vs. Certified HOA Management, Inc., 24-01421374	Defendant, Powerstone Property Management, Inc. ("Powerstone"), demurs to the Complaint of Plaintiffs, Debora Iorio, Thomas Iorio, Janie Iorio, and Thomas Iorio (collectively, "Plaintiffs"), and the first through ninth causes of action therein. Powerstone contends that the first through ninth causes of action fail to state facts sufficient to constitute a cause of action against it and are fatally uncertain. <i>Late Service of Opposing Papers</i> Plaintiffs' counsel provides that the opposition was timely filed on May 1, 2026, but that upon receiving the conformed copy of the opposition on May 4, 2026, they discovered that it had inadvertently not been served on the parties listed on the original proof of service, and promptly took steps to correct the issue by serving Plaintiffs' opposition on all parties listed on the proof of service. (Declaration of Dalton B.

Phillips, ¶¶ 3-7, 10.) Indeed, it appears that the party that was not served with the opposition was the moving party, Powerstone. Nevertheless, as a substantive reply has been filed, the Court perceives no prejudice, and considers the opposition.

Powerstone's Request for Judicial Notice

Powerstone requests that the Court take judicial notice of two documents: (1) Powerstone's Property Management, Inc.'s California Secretary of State Statement of Information (Ex. 2); and (2) Pages from Pointe Surfside Homeowner's Association's Public Website (Ex. 3) pursuant to Evidence Code section 452(h). Specifically, Powerstone requests that the Court take judicial notice of facts contained within these documents, i.e., that Powerstone is a property management company, and that Powerstone became the property management company for Defendant, Pointe Surfside Homeowner's Association (the "HOA") on June 1, 2025.

The Court GRANTS the request for judicial notice that Powerstone is a property management company pursuant to Evidence Code section 452(h), which is not disputed by Plaintiffs.

The Court DENIES the request for judicial notice as to the pages from Pointe Surfside Homeowner's Association's Public Website to establish the fact that Powerstone became the property management company for the HOA on June 1, 2025. " 'Taking judicial notice of a document is not the same as accepting the truth of its contents or accepting a particular interpretation of its meaning.' [Citation.] While courts take judicial notice of public records, they do not take judicial notice of the truth of matters stated therein. [Citation.] 'When judicial notice is taken of a document, . . . the truthfulness and proper interpretation of the document are disputable.' [Citation.]" (*Herrera v. Deutsche Bank Nat'l Trust Co.* (2011) 196 Cal.App.4th 1366, 1375; *See Searles Valley Minerals Operations, Inc. v. State Bd. Of Equalization* (2008) 160 Cal.App.4th 514, 519 [finding request for judicial notice of materials contained on website pages was properly denied as "although it might be appropriate to take judicial notice of the existence of the Websites, the same is not true of their factual content"].)

Uncertainty

Powerstone contends that it demurs to the fifth through ninth causes of action on the grounds of uncertainty. Code of Civil Procedure section 430.10(f) provides that a defendant may demur on the ground that the pleading is uncertain. "As used in this subdivision, 'uncertain' includes ambiguous and unintelligible." A demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading, but is directed at the uncertainty

		existing in the allegations actually made. (<i>People v. Lim</i> (1941) 18 Cal. 2d 872, 883.) A party attacking a pleading on “uncertainty” grounds must specify how and why the pleading is uncertain, and where that uncertainty can be found in the challenged pleading. (<i>Fenton v. Groveland Community Services Dept.</i> (1982) 135 Cal.App.3d 797, 809 [<i>disapproved on other grounds in Katzberg v. Regents of the University of California</i> (2002) 29 Cal.4th 300].) “\ . . . “[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” [Citation.]’ [Citation.] (<i>Morris v. JPMorgan Chase Bank, N.A.</i> (2022) 78 Cal.App.5th 279, 292.) Here, Powerstone does not specify how and why each of the nine causes of action is uncertain. Therefore, the demurrer on the ground that each of the nine causes of action is uncertain is OVERRULED. <i>First Cause of Action for Nuisance, Third Cause of Action for Negligence, and Sixth Cause of Action for Premises Liability</i> Powerstone contends that Plaintiffs’ first, third, and sixth causes of action for nuisance, negligence, and premises liability fail to state facts sufficient to state a cause of action as they arise from events that are alleged to have occurred between December 2021 and October 2023, during a time that Powerstone was not the HOA’s management company. Powerstone asserts that it was not until June 1, 2025, that Powerstone and the HOA entered into a management agreement pursuant to which Powerstone provided management services to the HOA. Plaintiffs contend that the demurrer to the first, third, and sixth causes of action should be overruled because Plaintiffs’ claims are not limited to the initial creation of the defect, and Plaintiffs allege an ongoing, unresolved, and dangerous condition affecting the property located at 4682 Warner Avenue, C112, Huntington Beach, California 92646 (the “Property”) and common areas, including continuing water intrusion, mold contamination, failure to remediate, loss of use, and an uninhabitable residence. Plaintiffs also assert that Powerstone relies on extrinsic materials outside the Complaint to argue that it became the HOA’s management company on June 1, 2025. Plaintiffs further contend that even if the Court takes judicial notice that Powerstone became the HOA’s manager on June 1, 2025, that does not establish that Powerstone lacked notice, that the water intrusion had ended, that the mold condition had been remediated, that the residence was habitable, that Powerstone lacked access to prior records, or that Powerstone acted reasonably, and that at most, Powerstone’s materials raise factual issues regarding the scope and timing
--	--	---

		of its management role, which cannot defeat Plaintiffs' claims at the pleading stage. Powerstone's contention that it did not become the property manager for the Property until June 1, 2025, is a fact that is not the proper subject of judicial notice and is extrinsic to the Complaint and may not be considered. A demurrer can only be used to challenge defects that appear on the face of the pleading or from matters outside the pleading that are judicially noticeable. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) No other extrinsic evidence can be considered. (<i>Ion Equip. Corp. v. Nelson</i> (1980) 110 Cal.App.3d 868, 881.) Therefore, Powerstone fails to establish that it may not be subject to liability for the first, third, and sixth causes of action on the ground that the alleged wrongful conduct pre-dates their management of the Property. The demurrer to the first, third, and sixth causes of action is OVERRULED. <i>Second Cause of Action for Breach of Contract and Eighth Cause of Action for Breach of Fiduciary Duty</i> Powerstone contends that Plaintiffs' second cause of action for breach of contract (CC&R) fails state facts sufficient to constitute a cause of action against Powerstone as this claim may only be brought against a homeowner's association, an owner, or both, and cannot be brought against a management company under Civil Code section 5975. Powerstone also contends that Plaintiffs' eighth cause of action for breach of fiduciary duty is alleged against the HOA, that the conduct complained of is specifically attributed to the HOA, and that Plaintiffs do not and cannot allege that Powerstone, a management company, has or had any fiduciary duties to Plaintiff, such that Plaintiffs fail to allege facts sufficient to state a cause of action for breach of fiduciary duty as to Powerstone. Plaintiffs contend that the demurrer to the second and eighth causes of action should be overruled, and that while Plaintiffs acknowledge that the HOA is the primary party obligated under the CC&Rs to maintain and repair the common areas, and that the HOA owes fiduciary duties to homeowners and members, the Complaint alleges that Defendants and DOE defendants acted as agents, servants, and employees of one another, provided services relating to the Property, and were responsible for managing, maintaining, repairing, supervising, and controlling the Property and common areas. "[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811, 821.) The three elements of a cause of action for breach of
--	--	---

		fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages. (<i>Id.</i> at p. 820.) “[T]he mere placing of a trust in another person does not create a fiduciary relationship.” (<i>Zumbrun v. University of Southern California</i> (1972) 25 Cal.App.3d 1, 13, 101 Cal.Rptr. 499.) As the court observed in <i>Committee on Children's TV, supra</i>, 35 Cal.3d at page 221, 197 Cal.Rptr. 783, 673 P.2d 660, ‘before a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.’” (<i>See Apollo Capital Fund, LLC v. Roth Capital Partners, LLC</i> (2007) 158 Cal.App.4th 226, 246.) Civil Code section 5975 states: “The covenants and restrictions in the declaration shall be enforceable equitable servitudes, unless unreasonable, and shall inure to the benefit of and bind all owners of separate interests in the development. Unless the declaration states otherwise, these servitudes may be enforced by any owner of a separate interest or by the association, or by both.” (Civ. Code § 5975(a).) The second and eighth causes of action are brought against Defendant HOA, and DOES 1-50 only. The second cause of action expressly alleges that “Section 5.3 of the CC&Rs expressly places the burden and responsibility on Defendant [HOA] to repair and maintain the Common Areas.” (Complaint, ¶ 54.) The eighth cause of action alleges that “[a] homeowners’ association and its board members owe a fiduciary duty to its homeowners and members that requires that the HOA act with the utmost good faith in the best interests of its homeowners.” (Complaint, ¶ 115.) The Complaint alleges, in relevant part: “Plaintiffs are further informed and believe, and thereon Defendant was, that each of these fictitiously named Defendants, at all relevant times, owned, possessed, managed, operated, leased, rented, maintained, and was responsible for supervising and caring for the Property so as to ensure it was in a safe and habitable condition. DOES 1-50 failed to maintain, repair and /or remediate the Property. DOES 1-50, at all times mentioned herein, controlled and/or supervised the Property or those common areas that affected the Property. Plaintiffs are informed and believe and based thereon alleges, that each of the fictitiously named Defendants is negligently responsible in some manner for the occurrences alleged in this complaint, and Plaintiffs injuries as herein alleged were proximately caused by Defendant’s negligence.” (Complaint, ¶ 11.) It is also alleged that, “Defendant sued herein, and those fictitious Defendants sued as DOES 1-50 are the agents, servants, and employees of each of the other Defendants and in doing the
--	--	---

things hereinafter alleged, were acting in the course and scope of said agency and employment." (Complaint, ¶ 12.)

Based on the foregoing, Plaintiffs have not sufficiently alleged a basis for a breach of the CC&Rs or breach of fiduciary duty against Powerstone, which is a property management company. Plaintiffs' assertion that it may plead a claim for breach of the CC&Rs or breach of fiduciary duty against Powerstone based on agency, negligent undertaking, participation, aiding and abetting, and ordinary negligence do not specifically address these causes of action and are not supported by citation to authority. The court may "disregard conclusory arguments that are not supported by pertinent legal authority or fail to disclose the reasoning by which [a party] reached the conclusion [he or she] wants [the court] to adopt.'" (*United Grand Corp. v. Malibu Hillbillies, LLC* (2019) 36 Cal.App.5th 142, 153 citing *City of Santa Maria v. Adam* (2012) 211 Cal.App.4th 266, 287.)

The demurrer to the second and eighth causes of action are SUSTAINED, with 10 days' leave to amend.

Fourth Cause of Action for Fraud/Concealment and Fifth Cause of Action for Negligent Misrepresentation

Powerstone contends that Plaintiffs' fourth cause of action for fraud/concealment is brought against Defendant Certified HOA Management, Inc., and that the conduct complained of is attributed specifically to Certified HOA Management, Inc. Powerstone also contends that Plaintiffs' fifth cause of action for negligent misrepresentation is similarly flawed as Powerstone was not the management company prior to or at the time that Plaintiffs purchased the Property and, the cause of action for negligent misrepresentation is alleged with specificity only as to Certified HOA Management, Inc.

Plaintiffs contend that the demurrer to the causes of action for fraud/concealment and negligent misrepresentation ignores the Doe allegations, the continuing nature of the alleged misconduct, and Plaintiffs' ability to amend. Plaintiffs' assert that their fraud and negligent misrepresentation theories are not limited to the original purchase, and that they allege continuing concealment, omission, and failure to disclose the true condition of the Property, not merely a completed historical representation.

" 'The elements of fraud that will give rise to a tort action for deceit are: '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' " (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974.)

		"Fraud must be pleaded with particularity. General and conclusory allegations are inadequate. [Citation.]" (<i>Laukhart v. El Macero Homeowners Assn.</i> (2023) 92 Cal.App.5th 889, 903.) "Fraud must be specifically pleaded; a general pleading of the legal conclusion of fraud is insufficient. Every element of the cause of action must be alleged in full, factually and specifically. [Citation.]" (<i>Tindell v. Murphy</i> (2018) 22 Cal.App.5th 1239, 1249.) "This pleading requirement of specificity [for a fraud cause of action] applies not only to the alleged misrepresentation, but also to the elements of causation and damage." (<i>Moncada v. West Coast Quartz Corp.</i> (2013) 221 Cal.App.4th 768, 776.) The fourth cause of action for fraud/concealment is asserted only against Defendant Certified HOA Management, Inc. and DOES 1-50, but asserts facts solely pertaining to conduct by Defendant Certified HOA Management. (Complaint, ¶¶ 71-82.) The fifth cause of action for negligent misrepresentation is also asserted only against Defendant Certified HOA Management, Inc. and DOES 1-50. There are no facts alleged as to any fraud or misrepresentations by Powerstone. Accordingly, the demurrer to the fourth and fifth causes of action are SUSTAINED, with 10 days' leave to amend. <i>Seventh Cause of Action for Intentional Infliction of Emotional Distress</i> Powerstone contends that Plaintiffs' seventh cause of action for intentional infliction of emotional distress fails to plead any facts to support this claim against Powerstone as the facts pled pre-date Powerstone's term as the HOA's management company, and do not mention what Powerstone did or did not do in support of this cause of action. Plaintiffs contend that the demurrer to the cause of action for intentional infliction of emotional distress should be overruled, or that Plaintiffs should be allowed leave to amend as Plaintiffs can allege Powerstone assumed management while the residence remained uninhabitable, the master bedroom remained gutted and unusable, and the common-area source of water intrusion remained unresolved. Plaintiffs assert that if Powerstone knew or should have known of those conditions and nevertheless failed to investigate, repair, remediate, disclose, warn, coordinate repairs, or abate the nuisance, those facts support reckless disregard of the probability of causing severe emotional distress, and that at minimum, whether this conduct is sufficiently outrageous is fact-intensive and should not be resolved on demurrer. "A cause of action for intentional infliction of emotional distress exists when there is '(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme
--	--	--

		emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct.' " (<i>Hughes v. Pair</i> (2009) 46 Cal.4th 1035, 1050–1051.) "The complaint must plead specific facts that establish severe emotional distress resulting from defendant's conduct. [Citation.]" (<i>Michaelian v. State Comp. Ins. Fund</i> (1996) 50 Cal. App. 4th 1093, 1114.) The Complaint does not allege any facts specific to DOE defendants and/or Powerstone to support a cause of action for intentional infliction of emotional distress against Powerstone. (Complaint, ¶¶ 107-111.) The demurrer to the seventh cause of action is SUSTAINED, with 10 days' leave to amend. <i>Ninth Cause of Action for Loss of Consortium</i> Powerstone contends that Plaintiff's ninth cause of action for loss of consortium fails to state facts sufficient to constitute a cause of action against Powerstone as no facts are pled whatsoever in support of this cause of action. Plaintiffs contend that the loss of consortium claim is derivative of Plaintiffs' underlying tort claims, and that because Plaintiffs have sufficiently alleged claims for nuisance, negligence, premises liability, concealment, negligent misrepresentation, and intentional infliction of emotional distress, the loss of consortium claim survives. Plaintiffs assert that , if necessary, Plaintiffs can amend to allege that Powerstone's post-takeover failure to address the still-uninhabitable condition prolonged the spouses' loss of companionship, comfort, care, assistance, society, emotional support, household support, and normal marital life. There are no allegations under the ninth cause of action to support this cause of action. (See Complaint at p. 23.) The demurrer to the ninth cause of action is SUSTAINED, with 10 days' leave to amend. <i>Powerstone to give notice.</i>
104	Barajas vs. Iniguez, 24-01422858	Defendant Norma Iniguez ("Defendant") moves pursuant to Code of Civil Procedure section 1048 and California Rules of Court, rule 3.350 for an order consolidating (1) Norma Iniguez v. Roberto Barajas, OCSC Case No. 30-2025-01474457 and (2) Roberto Barajas v. Norma Iniguez, OCSC Case No. 30-2024-01422858. Defendant also moves to continue trial currently set of 10/12/2026 pursuant to California Rules of Court, rule 3.1332. Plaintiff Roberto Barajas ("Plaintiff") opposes the motion. Importantly, however, the opposition does not have a proof of service. Regardless, the Court finds Defendant's arguments persuasive.

		Pursuant to Code of Civil Procedure section 1048 and California Rules of Court, rule 3.350, Defendant Norma Iniguez's Motion to Consolidate the following two cases is GRANTED: 1. Roberto Barajas v. Norma Iniguez, OCSC Case No. 30-2024-01422858, filed on 08/29/2024. 2. Norma Iniguez v. Roberto Barajas, OCSC Case No. 30-2025-01474457 filed on 04/10/2025. The court finds that all procedural requirements set forth in California Rules of Court, rule 3.350 are met. Moreover, the court finds that the actions involve common questions of law and fact such that the interests of the parties and the court would be best served by consolidating the cases. (See Code Civ. Proc., § 1048.) Moreover, pursuant to California Rule of Court, rule 3.13321, the Court finds that the factors set forth in California Rules of Court, rule 3.1332 weigh in favor of continuing trial and therefore the request to continue the 10/12/2026 trial date is GRANTED. (Cal. Rules of Court, rule 3.1332.) Trial is CONTINUED to April 12, 2027 at 9 a.m. <i>Moving party to give notice.</i>
105	Peltekci vs. Jaguar Land Rover North America, LLC, 23-01357182	Plaintiffs JOHN PELTEKCI and CHRIS PELTEKCI move for an award of attorney fees under the "lodestar" method in the amount of \$44,620.00. Plaintiffs also request a modest "lodestar" multiplier/enhancement of 1.5x, in the amount of \$22,310.00, for a total of \$66,930.00 in attorney fees. The total amount requested by this motion is \$66,930.00. Moving party also requests costs in the amount of \$3,025.75. The plain wording of section 1794, subdivision (d) requires the trial court to base the prevailing buyer's attorney fee award upon actual time expended on the case, as long as such fees are reasonably incurred—both from the standpoint of time spent and the amount charged. (<i>Hanna v. Mercedes-Benz USA, LLC</i> (2019) 36 Cal.App.5th 493, 506.) Civil Code section 1794 requires the trial court to make an initial determination of the actual time expended; and then to ascertain whether under all the circumstances of the case the amount of actual time expended and the monetary charge being made for the time expended are reasonable. These circumstances may include, but are not limited to, factors such as the complexity of the case and procedural demands, the skill exhibited and the results achieved. If the time expended or the monetary charge being made for the time expended are not reasonable under all the circumstances, then the court must take this into account and award attorney fees in a lesser amount. A prevailing buyer has the

		burden of showing that the fees incurred were allowable, were reasonably necessary to the conduct of the litigation, and were reasonable in amount. (<i>Hanna, supra</i>, 36 Cal.App.5th at p. 507) In affirming, the Court of Appeal indicated in <i>Morris v. Hyundai Motor America</i> (2019) 41 Cal.App.5th 24, 32 as modified (Oct. 11, 2019): "In making its calculation [of a reasonable hourly rate], the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees [citation], the difficulty or complexity of the litigation to which that skill was applied [citations], and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases." (569 <i>East, supra</i>, 6 Cal.App.5th at p. 437, 212 Cal.Rptr.3d 304; see <i>Mountjoy, supra</i>, 245 Cal.App.4th at p. 272, 199 Cal.Rptr.3d 495 ["`a reasonable hourly rate is the product of a multiplicity of factors [including] the level of skill necessary, time limitations, the amount to be obtained in the litigation, the attorney's reputation, and the undesirability of the case" ' "].)" [<i>Morris v. Hyundai Motor America</i> (2019) 41 Cal.App.5th 24, 41, as modified (Oct. 11, 2019)] Also, in <i>Mikhaeilpoor v. BMW of North America, LLC</i> (2020) 48 Cal.App.5th 240 the Court of Appeal affirmed the trial Court's reduction of attorney's rate to \$350 an hour where there were multiple time keepers at differing rates. This case appears to give this Court authority to reduce the fees to a reasonable hourly rate. <i>Relevant History</i> On or about February 11, 2018, Plaintiffs leased a new 2018 Land Rover HSE, VIN: SALGS2SVXJA383799 from Jaguar Land Rover Newport Beach in Newport Beach, California. The Vehicle's odometer at lease read 36 miles. The total lease payments over the 39-month lease, including Plaintiffs' cash down payment of \$7,500.00 was \$68,294.86. According to the Complaint, the Vehicle was delivered to Plaintiffs with serious defects and nonconformities under the warranty and developed other serious defects and nonconformities under the warranty. (Complaint¶10, 13.) 10/17/2023 Plaintiff filed this lawsuit alleging causes of action for: 1. VIOLATION OF SONG-BEVERLY ACT - BREACH OF EXPRESS WARRANTY 2. VIOLATION OF SONG-BEVERLY ACT - BREACH OF IMPLIED WARRANTY 3. VIOLATION OF SONG-BEVERLY ACT – SECTION 1793.2 4. NEGLIGENT REPAIR
--	--	--

	11/22/2023 Defendants JAGUAR LAND ROVER NORTH AMERICA, LLC and ANAHEIM HILLS JAGUAR LAND ROVER, INC. dba LAND ROVER ANAHEIM HILLS filed an Answer to the Complaint. 02/01/2024 CMC, the Court indicated, "Counsel are directed to the Court's website and are ordered to review this Court's Voluntary Stipulation re: Discovery in Song-Beverly Cases. If counsel are agreeable, they may submit the signed stipulation for this court to review." 5/31/2024 a Stip and Protective Order signed. 7/17/2024 Plaintiff filed a Motion to Compel Further re: RPDS, Set 1 which was granted in part and sanctions ordered on 1/9/2025. 11/22/2024 Plaintiff filed a Motion to Compel Deposition of PMQ which was denied on 1/16/2025. 2/19/2025 a Notice of Settlement was filed. 3/24/2025 a Memo of Costs was filed by Plaintiff in the total amount of \$3,025.75. Almost a year after the case settled, on 2/13/2026, this Motion was filed. In sum, Plaintiffs request \$66,930.00 in fees for a case which involved a complaint, basic discovery; one discovery motion which was ruled upon (with mixed results), and another discovery motion which was denied. Notably, no motions were filed to attack the pleadings, no depositions took place, and no vehicle inspection took place. There was absolutely nothing complex about this routine lemon law case. Rather, the discovery propounded, motions filed, and result obtained, all appear very characteristic of the scores of lemon law cases this Court has encountered. <i>Lodestar</i> Civil Code section 1794, subdivision (d) requires the attorney fees to be based on "actual time expended" and to have been "reasonably incurred." <i>Hourly Rate</i> "The reasonable hourly rate is that prevailing in the community for similar work...The relevant 'community' is that where the court is located. (citations omitted). [<i>Altavion, Inc.</i>
--	--

v. Konica Minolta Systems Laboratory, Inc. (2014) 226 Cal.App.4th 26, 71–72.]

Plaintiff's prosecution team consisted of five attorneys and three paralegals (Decl. of Wirtz¶16.)

1. Senior Attorney Rotman (licensed in 2012, \$600 an hour)
2. Senior Attorney Underwood (licensed 2015, \$600 an hour)
3. Associate Attorney Gonzales-McCaulley (graduated with her JD from California Western School of Law in April 2023, \$450 an hour),
4. Associate Attorney Bootwala (graduated with her JD from University of San Diego School of Law in May 2025, \$450 an hour)
5. Associate Attorney Schwartz, earned her law degree from the University of Wisconsin Law School in 2008, \$450 an hour)
6. Associate Attorney Mellgren, Juris Doctor in 2022 from the University of San Diego, \$450 an hour)
7. Senior Managing Paralegal Evans (completed the ABA-Approved Paralegal Program at the University of San Diego in 2015, \$300 an hour)
8. Paralegals Lizarraga (completed the ABA-Approved Paralegal Program at the University of San Diego, graduating in 2022, \$250/hour.)
9. Ms. Zaki (completed the ABA-Approved Paralegal Program from UCSD in June 2023, \$250 an hour)

Defendant argues that based on LASC cases a reasonable hourly rate for this case would be only about \$375 to \$525 per hour, and not \$600 per hour.

The Court declines Defendant's invitation to reduce the hourly rate.

Number of Hours

Exhibit 1 attached to the Declaration of Wirtz establishes that the Plaintiffs' attorneys spent 112.6 hours on this case, which includes the anticipated time for this motion.

Defendant, apparently not wanting to take the time to go through the billing statements and provide objections, simply argues that a "general observation" alone should warrant a large reduction of Plaintiff's fee request. That is, Defendant does not provide the Court with any portions of the bill that are padded, repetitive, etc. Indeed, Defendant does not even tell the Court the total hours it deems reasonable. Rather, Defendant simply argues, "Plaintiff's counsel's total base attorney fees of \$44,620.00 are excessive and should be cut. A reasonable fee award would be \$25,000 without a fee

		multiplier. And again, this is a case with no expert depositions and no trial and one that presented no questions of first impression and no unique or extraordinary law and motion practice.” (Opposition page 8:24-27.) As such, Defendant’s opposition is not helpful to this Court’s analysis. Based on the Court’s review of the 311 pages of documents associated with the Declaration of Wirtz, and the grid on page 2-3 of the Motion, the Court concludes the following hours are simply excessive given the nature and complexity of the case, and likelihood that most, if not all of the discovery, pleadings, meet and confer letters, etc. were cut and pasted. Written Discovery – Requests 3.3 hours (reduce by 1 hour) Meet and Confer --Requests 8.4 hours (reduce by 4 hours) Deposition – Dealers --Requests 4.0 hours (Reduce by 3 hours) Motion to Compel Written Discovery-- Requests 8.1 hours (reduce by 8.1 hours, sanctions were already awarded) Motion to Compel Deposition—Requests 14.7 (reduce by 10.7 hours. Motion was denied. Other motions were never heard.) Client Communication--Requests 22.5 hours (this is grossly inflated. Reduce by 10 hours). <i>Multiplier</i> Plaintiff seeks a multiplier of 1.5x which is denied as unnecessary. All in all, Plaintiff’s motion is GRANTED, but reduced based on the above. Plaintiff requests costs in the amount of \$3,025.75, which are GRANTED. Defendant did not file a Motion to Tax/Strike Costs, nor did it object to the costs sought by Plaintiff. Plaintiff is ordered to provide a proposed Order which takes the above reductions in rates and time into consideration and makes the calculations accordingly. Defendant has 5 days to submit any objection thereto. <i>Plaintiff to give notice.</i>
106	Maldonado vs. City of Garden Grove, 24-01385594	Defendant LFA GROUP, LLC (“Defendant”) will ask the Court to compel Plaintiff MARISOL MALDONADO (“Plaintiff”) to serve further responses to Defendant’s Second Set of Form Interrogatories and will further move this Court for an order requiring Plaintiff to pay a monetary sanction to Defendant. Defendant’s Form Interrogatories (Set Two) were served 11/4/2025. (Decl. Howard¶11.) Responses were due December 8, 2025. (Id.) After an extension was granted, Plaintiff served responses on December 15, 2025. (Id.¶13.) On 1/28/2026, Defendant’s counsel telephonically met and

conferred with Plaintiff's counsel regarding Defendant's request for supplemental responses and advised the last day for Defendant to file its contemplated Motion to Compel Further Responses was 2/2/2026. (Id. ¶16.) Having not received supplemental responses, this motion was filed on 2/2/2026.

Here, Interrogatory 17.1 states:

Is your response to each request for admission served with these interrogatories an unqualified admission? If not, for each response that is not an unqualified admission:

- (a) state the number of the request;
- (b) state all facts upon which you base your response;
- (c) state the names, ADDRESSES, and telephone numbers of all PERSONS who have knowledge of those facts; and
- (d) identify all DOCUMENTS and other tangible things that support your response and state the name, ADDRESS, and telephone number of the PERSON who has each DOCUMENT or thing.

As to several RFAs, Plaintiff appears to have impermissibly grouped them together. Answers must be complete and responsive. [*Deyo v. Kilbourne* (1978) 84 Cal.App.3d 771, 783.]

In other responses, Plaintiff is evasive. And yet in others, the responses are inconsistent or incomplete. Notably, each answer in the response must be "as complete and straightforward as the information reasonably available to the responding party permits. If an interrogatory cannot be answered completely, it shall be answered to the extent possible." [CCP § 2030.220(a), (b)]

Therefore, the unopposed Motion is granted for the reasons stated in the Motion and Separate Statement. Supplemental responses to be served within 20 days.

Finally, while Defendant complains about boilerplate objections, it fails to set those forth in the separate statement. As such, the Court will not rule on the objections.

As to sanctions, while the amount of sanctions is not set forth in the notice of motion, Defendant's notice of motion did request monetary sanctions against Plaintiff and identified the enabling statute as CCP §2030.300(d).

Sanctions are warranted here as Plaintiff failed to provide supplemental responses, which required Defendant to prepare and file this motion. Plaintiff also failed to oppose this motion.

		Thus, the Court orders sanctions in the amount of \$2,221.65 (9 hours at \$240 an hour + \$61.65 filing fee) against Plaintiff Marisol Maldonado, to be paid within 20 days. <i>Defendant to provide notice.</i>
107	Mandaric vs. Zhu, 25-01535555	<i>Off-calendar.</i>
108	James Bay Resources Limited vs. Lockett & Horwitz, 23-01313001	Defendant, Lockett & Horwitz, Inc., fka as Horwitz & Armstrong, PLC ("L&H") moves for an order granting summary judgment against Plaintiffs, James Bay Resources Limited ("James Bay") and Stephen Shefsky ("Shefsky") (collectively, "Plaintiffs") as to the Second Amended Complaint ("SAC"). Alternatively, L&H moves for summary adjudication of the first cause of action (Issue No. 1), the second cause of action (Issue Nos. 2 and 3), the third cause of action (Issue No. 4), and all causes of action on the basis that they are all fail as they were raised after the expiration of the statute of limitations (Issue No. 5). Initially, L&H filed and served original moving papers on March 6, 2026. The original motion sought only summary judgment. (ROA 189.) The original Separate Statement of Undisputed Facts consists of 30 facts in support of summary judgment only. (ROA 181.) Thereafter, on May 5, 2026, L&H filed an Amended Notice of Motion and Motion which moved for summary judgment as in the original motion, but also moved, in the alternative, for summary adjudication on five issues. (ROA 231.) In support of the Amended Notice of Motion and Motion, L&H filed an Amended Separate Statement of Undisputed Facts which added the five issues and the asserted undisputed material facts for each of these issues. (ROA 229.) The Amended Motion is considered. <i>Request for Continuance</i> Plaintiffs contend that the instant Amended Motion for Summary Judgment is premature and that the motion should be denied or continued under Code of Civil Procedure section 437c(h) because L&H has failed to respond substantively to discovery propounded on it on May 23, 2025, and September 17, 2025. The reply does not address this argument. "If it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just." (Code Civ. Proc. § 437c(h).)

		A continuance is a matter within the broad discretion of the court but is "virtually mandated" "upon a good faith showing by affidavit that a continuance is needed to obtain facts essential to justify opposition to the motion." [Citation.]' [Citation.]" (<i>Bahl v. Bank of America</i> (2001) 89 Cal.App.4th 389, 395.) Continuances are to be liberally granted." (<i>Ibid.</i>) "Where the opposing party submits an adequate affidavit showing that essential facts may exist but cannot be presented timely, the court must either deny summary judgment or grant a continuance. [Citation.]" (<i>Dee v. Vintage Petroleum, Inc.</i> (2003) 106 Cal.App.4th 30, 34-35.) "The nonmoving party seeking a continuance 'must show: (1) the facts to be obtained are essential to opposing the motion; (2) there is reason to believe such facts may exist; and (3) the reasons why additional time is needed to obtain these facts. [Citations.]" [Citation.]" (<i>Frazee v. Seely</i> (2002) 95 Cal.App.4th 627, 633.) "[T]he affiant is not required to show that essential evidence does exist, but only that it may exist." (<i>Id.</i> at p. 634.) "The affidavit or declaration in support of the continuance request must detail the specific facts that would show the existence of controverting evidence. [Citations.]" (<i>Lerma v. County of Orange</i> (2004) 120 Cal.App.4th 709, 715 ("Lerma").) "The party seeking the continuance must justify the need, by detailing both the particular essential facts that may exist and the specific reasons why they cannot then be presented." (<i>Ibid.</i>) A continuance is not mandatory where the party opposing the motion fails to submit an affidavit that outstanding discovery could lead to evidence necessary to justify opposition, and it is not an abuse of discretion to deny a continuance under such circumstances. (<i>Scott v. CIBA Vision Corp.</i> (1995) 38 Cal.App.4th 307, 325-326.) Nonetheless, "[w]hen a continuance of a summary judgment motion is not mandatory, because of a failure to meet the requirements of Code of Civil Procedure section 437c, subdivision (h), the court must determine whether the party requesting the continuance has nonetheless established good cause therefor." (<i>Lerma, supra</i>, 120 Cal.App.4th at p. 716; see <i>Chavez v. 24 Hour Fitness USA, Inc.</i> (2015) 238 Cal.App.4th 632, 643, 644 [abuse of discretion to refuse continuance when papers showed proposed discovery "essential" to the opposition].) "That determination is within the court's discretion. [Citations.]" (<i>Lerma, supra</i>, 120 Cal.App.4th at p. 716.) Here, Plaintiffs' counsel provides that on May 23, 2025, Plaintiffs served Requests for Production, Set One and Form Interrogatories, Set one on L&H to which Plaintiffs served deficient responses. (Declaration of Jeanine Zalduendo, ¶ 10, Exs. 2-3.) Plaintiffs' counsel provides that L&H produced 13
--	--	--

documents totaling 22 pages which did not pertain to the transaction alleged in the Complaint, but to other work L&H conducted for the Borrowers. (Id., ¶ 11.) Plaintiffs' counsel also provides that in light of L&H's deficient responses, on September 17, 2025, Plaintiff James Bay propounded Requests for Admission, Set One and Special Interrogatories, Set One on L&H, and that L&H's responses amounted to mostly boilerplate objections, claiming that it was not able to respond because Armstrong had all relevant information and he was purportedly incapacitated. (Id., ¶¶ 13-14, Exs. 4-5.) Plaintiffs' counsel met and conferred with L&H's counsel, who confirmed that L&H would not be amending or supplementing any discovery responses. (Id., ¶ 15.) Plaintiffs' counsel provides that on April 2, 2026, Plaintiffs filed Motions to Compel further responses to Plaintiffs aforementioned discovery requests, and that these motions are set for hearing on October 22, 2026. (Id., ¶ 17.)

Based on the foregoing, the declaration in support of the continuance does not detail the specific facts that would show the existence of controverting evidence, nor does it support that facts essential to opposing the motion may exist. Thus, the request for a continuance is not mandatory, and is DENIED.

Plaintiffs' Objections to the Declaration of Lawrence W. Horwitz

"In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court," (Code Civ. Proc. § 437c(c).) "In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to the disposition of the motion." (Code Civ. Proc. § 437c(q).)

The Court OVERRULES the objection to paragraphs 2, 4 (first sentence),

The Court SUSTAINS the objection to paragraphs 3, 4 (second sentence), paragraphs 2-4 collectively, and to the entire Declaration of Lawrence W. Horwitz.

L&H's Request for Judicial Notice

L&H requests that the Court take judicial notice of four documents: (1) Opinion Letter issued on December 20, 2018 by law firm Horwitz & Armstrong, processor to Defendant Lockett & Horwitz referenced in the SAC as the HA Opinion (Ex. 1); (2) Ruling on Demurrer to Complaint (Ex. 2); (3) SAC (Ex. 3); and (4) Redlined version of SAC as served by Plaintiffs on Defendants (Ex. 4.)

		In response, L&H filed a separate six-page opposition, in addition to the 21-page memorandum of points and authorities filed in opposition to the motion. (See ROA 259, 261.) California Rules of Court, Rule 3.1113(d) provides that no opening or responding memorandum in a summary judgment or summary adjudication motion may exceed 20 pages. California Rules of Court, Rule 3.1113(g) provides, "A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late-filed paper." While a paper may not be rejected for filing on the ground that it was untimely submitted for filing, the court, in its discretion, may refuse to consider a late filed paper. (California Rules of Court, Rule 3.1300(d).) The separate opposition to the request for judicial notice effectively extends the page limit for replies, without permission. The Court declines to consider the separate opposition to the request for judicial notice. The Court GRANTS L&H's request for judicial notice as to the Opinion Letter attached to the SAC, the ruling on the demurrer to Complaint, and the SAC, pursuant to Evidence Code section 452(d), but declines to take judicial notice of the truth of hearsay statements contained therein. The Court DENIES the request for judicial notice as to the redlined version of the SAC. <i>Plaintiffs' Request for Judicial Notice</i> Plaintiffs request that the Court take judicial notice of the following court records: (1) The Complaint in the case Securities and Exchange Commission v. David J. Bunevacz et al., United States District Court, Central District of California, Case No. 2:22-cv-02284, ("SEC Complaint") (Ex. 1); (2) The Complaint in the case United States of America v. David Joseph Bunevacz, United States District Court, Central District of California, Case No. 2:22-mj-01265-DUTY, ("Criminal Complaint") (Ex. 2); and (3) The Plea Agreement in the case United States of America v. David Joseph Bunevacz, United States District Court, Central District of California Case No. 2:22-cr-00175-DSF 1 (Ex. 3). The Court DENIES Plaintiffs' request for judicial notice as these materials are not relevant to the determination of the issues. A court may deny a request for judicial notice on the ground that the material is not relevant to the determination of the issues. (<i>State Compensation Ins. Fund v. ReadyLink Healthcare, Inc.</i> (2020) 50 Cal.App.5th 422, 442-443.) <i>First Cause of Action for Breach of Contract</i>
--	--	--

		<i>Issue No. 1: Plaintiff Cannot Legally Maintain a Breach of Contract Cause of Action Against Defendant Lockett & Horwitz as Plaintiff Cannot Legally Establish that Plaintiffs Were Third Party beneficiaries of the Legal Opinion so the First Cause of Action for Breach of Contract Legally Fails.</i> L&H contends Plaintiffs cannot state a cause of action for breach of contract against L&H and Armstrong as a matter of law. L&H asserts that this was the holding of this court in the previous Demurrer to the original Complaint in this matter, that there were no material revisions to the Breach of Contract claim in the SAC, and request that the Court take judicial notice of its previous ruling. L&H also asserts that no third-party beneficiary rights existed as between L&H and Plaintiffs, and that no fiduciary duty was owed by a client's lawyers, L&H, to a client's adversary, Plaintiffs. L&H asserts there was no attorney-client relationship as L&H's agreement with its own client was reached over a year prior to the transaction which gave rise to the HA Opinion, and that the HA Opinion confirms that L&H does not represent Plaintiff, disclaims any factual investigations by L&H, and states that Plaintiffs have their own legal counsel. L&H additionally assert that even if the HA Opinion was delivered to Plaintiffs, delivery alone does not create privity or an attorney-client relationship. Plaintiffs contend that the Court's prior demurrer ruling does not bar Plaintiffs' breach of contract claim; that L&H's motion and request for judicial notice incorrectly recount Plaintiffs' amendments to the Complaint, and that the redline version compared the SAC to the First Amended Complaint for the benefit of the Court, and it did not compare the SAC to the original Complaint, and therefore does not reflect the totality of what has been added by Plaintiffs since demurrer. Plaintiffs also assert that California law does not bar third-party beneficiary claims; that L&H ignores that David Bunevacz directed the HA Opinion to be created for the benefit of Plaintiffs per the email dated November 26, 2018; that <i>Roberts v. Ball, Hunt, Hart, Brown & Baerwitz</i> (1976) 57 Cal.App.3d 104 is directly on point; and that the cases cited by L&H that purportedly limit duties owed to non-clients are distinguishable. "[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811, 821.) "A 'contract implied in fact "consists of obligations arising from a mutual agreement and intent to promise where the agreement and promise have not been expressed in words." [Citation.]' [Citation.] The essential elements of a claim of breach of contract, whether express or implied, are the
--	--	---

		contract, plaintiff's performance or excuse for nonperformance, defendant's breach, and the resulting damages to plaintiff. [Citations.]" (<i>San Mateo Union High School Dist. v. County of San Mateo</i> (2013) 213 Cal.App.4th 418, 439-440.) "A cause of action for breach of implied contract has the same elements as does a cause of action for breach of contract, except that the promise is not expressed in words but is implied from the promisor's conduct. [Citation.]" (<i>Yari v. Producers Guild of America, Inc.</i> (2008) 161 Cal.App.4th 172, 182.) Plaintiffs assert the first cause of action for breach of contract as a third-party beneficiary. (Ex. 3 to L&H's Request for Judicial Notice ("L&H's RJN"), SAC, 17:19-20.) It is alleged that on a date prior to November 1, 2018, L&H entered into an express contract with CB Holding Group Corp. ("CBH"), CBN Group Inc. ("CBN"), and Brutus California Ventures Corporation ("Brutus California") for the provision of legal services to the Borrowers [CBH, CBN, and Brutus California] related to their business pursuits in the cannabis industry ("Representation Contract"). (Id., ¶¶ 9, 57.) It is alleged that Borrowers and L&H orally agreed to the terms of a legal services agreement and subsequently operated thereunder at all times from January 2017 up until L&H's breach on December 20, 2018. (Ibid.) It is alleged that L&H which operated throughout the relevant period under the registered name Howitz + Armstrong, a Professional Law Corporation ("HA") prepared a legal opinion dated December 20, 2018 ("HA Opinion") which confirmed the legal basis for a loan by Plaintiffs to Borrowers totaling \$4,600,000, and the legitimacy of the collateral provided by the Borrowers to secure repayment of the Plaintiffs' funds, upon which Plaintiffs relied. (SAC, ¶¶ 3, 12.) Plaintiffs generally allege that between November 21, 2018, and December 20, 2018, Defendant, John R. Armstrong ("Armstrong") engaged in regular and direct communications with Plaintiffs' attorney, Egan, wherein Egan directed Armstrong in the creation of the HA Opinion, and that email correspondence throughout that period demonstrates that Plaintiffs were beneficiaries of Armstrong's legal services, opinions, and expertise, and "that Armstrong expected and intended Plaintiffs to rely on his advice and opinions in having advanced the Initial Loans, and also when deciding if they should distribute further loans to the Borrowers." (Id., ¶ 32.) The SAC cites to correspondence dated November 21, 2018, November 26, 2018 through November 29, 2018, December 10, 2018, December 11, 2018, and December 19, 2018. (Ibid.) The first cause of action realleges the above allegations and alleges that that on November 26, 2018, David Bunevacz ("Bunevacz") and Armstrong, then attorney at L&H, spoke
--	--	--

during which Bunevacz instructed Armstrong to prepare the HA Opinion for the benefit of Plaintiffs under the pre-existing Representation Contract, and that this oral conversation was an extension to and amendment of the broader oral Representation Contract between Borrowers and L&H for the provision of legal services, which amendment expressly identified Plaintiffs as the beneficiaries of the HA Opinion. (SAC, ¶ 58.) It is alleged that Bunevacz emailed Armstrong confirming the terms of the oral extension to the Representation Contract by directing Armstrong to provide the HA Opinion to Plaintiffs, and that both Borrowers and L&H understood and intended that the HA Opinion be created for the benefit of Plaintiffs within the scope of Defendants' representation of the Borrowers. (Ibid.)

The first cause of action alternatively alleges that Borrowers and L&H entered into a Representation Contract, which was implied-in-fact, and similarly alleges that L&H created the HA Opinion, "of which both the Borrowers and [L&H] understood and intended be created for the benefit of Plaintiffs within the scope of Defendants representation of the Borrowers." (SAC, ¶ 59.)

Plaintiffs additionally allege that they were intended direct beneficiaries of the Representation Contract and/or oral amendment thereto because they were the recipients of legal services and express opinions provided by L&H in the HA Opinion, other draft opinions, and legal advice given to Plaintiffs in accordance with Defendants' agreed-to obligations under the Representation Contract, and that L&H knew that Plaintiffs would benefit from the Representation Contract and that Plaintiffs could be harmed by any breach of the Representation Contract by L&H. (SAC, ¶¶ 61-62.) Plaintiffs further allege that the documents L&H prepared in connection with the Subscription Agreements were intended to benefit both the Borrowers and Plaintiffs, that the HA Opinion expressly names Plaintiffs as its intended recipient, and that the HA Opinion was rendered by HA and Armstrong for the purpose of influencing Plaintiffs' decision to loan funds to L&H's clients. (SAC, ¶ 62.)

At issue is the element of the existence of a contract as between Plaintiffs and L&H as third-party beneficiaries to the Representation Contract between L&H and the Borrowers.

"Limited exceptions to the privity rule have evolved in situations where the third party is the intended beneficiary of the attorney's services or the foreseeability of harm to the third party resulting from professional negligence is not outweighed by other policy considerations. [Citation.]" (*Skarbrevik v. Cohen, England & Whitfield* (1991) 231 Cal.App.3d 692, 701.) "Attorneys also have been held liable to third parties for their negligence in other transactions

		which were intended to directly benefit the third party.” (<i>Id.</i> at p. 702.) “ ‘The determination whether in a specific case the defendant will be held liable to a third person not in privity is a matter of policy and involves the balancing of various factors, among which are the extent to which the transaction was intended to affect the plaintiff, the foreseeability of harm to him, the degree of certainty that the plaintiff suffered injury, the closeness of the connection between the defendant’s conduct and the injury suffered, the moral blame attached to the defendant’s conduct, and the policy of preventing future harm.’ [Citation.]” (<i>Goodman v. Kennedy</i> (1976) 18 Cal.3d 335, 342-343 (“<i>Goodman</i>”).) “In order to show a duty was owed to a third party beneficiary of a legal services agreement the third party must show that ‘that was the intention of the purchaser of the legal services—the party in privity,’ and that ‘imposition of the duty carries out the prime purpose of the contract for services.’ [Citation.]” (<i>B.L.M. v. Sabo & Deitsch</i> (1997) 55 Cal.App.4th 823, 832.) L&H relies on the contents of the HA Opinion which is submitted as part of its request for judicial notice of the SAC as the HA Opinion is attached as Exhibit 14 to the SAC. “ ‘Judicial notice is the recognition and acceptance by the court, for use by the trier of fact or by the court, of the existence of a matter of law or fact that is relevant to an issue in the action without requiring formal proof of the matter.’ [Citation.]” (<i>Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort</i> (2001) 91 Cal.App.4th 875, 882, 110 Cal.Rptr.2d 877 (<i>Lockley</i>).) ‘ ‘Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid.Code, § 450.) Matters that are subject to judicial notice are listed in Evidence Code sections 451 and 452. A matter ordinarily is subject to judicial notice only if the matter is reasonably beyond dispute. [Citation.] Although the existence of a document may be judicially noticeable, the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable. [Citation.]” (<i>Fremont Indemnity Co. v. Fremont General Corp.</i> (2007) 148 Cal.App.4th 97, 113, 55 Cal.Rptr.3d 621 (<i>Fremont</i>).)” (<i>Unruh-Haxton v. Regents of University of California</i> (2008) 162 Cal.App.4th 343, 364.) The express statements in the HA Opinion are not reasonable disputable. The plain language of the HA opinion expressly disclaims any representation of Plaintiffs. The HA opinion, dated December 20, 2018, upon which Plaintiffs rely is attached and incorporated into the SAC as Exhibit 14. The HA
--	--	--

opinion states, “[o]ur law firm is legal counsel for CB Holding Group Corp., a Nevada corporation (‘CBH’), CBN Group, Inc., a Nevada corporation (‘CBN’), Brutus California Ventures Corporation, a California corporation (collectively . . . ‘Borrowers’).” (Ex. 14 to SAC, HA Opinion at p. 1.) It also states, “[o]ur firm does not represent the Lenders [Plaintiffs] in this transaction, and Lenders have their own legal counsel.” (Id. at p. 2.) The last paragraph of the HA Opinion states: “This opinion is being delivered to you and is solely for the benefit of you and your successors and assigns in connection with the closing, administration and enforcement of the financing transaction contemplated by the Documents and for which this opinion is given and is effective as of the date of this letter as we have no ability to accurately predict what might happen in the future. This opinion may not be used or relied on by any other person or for any other purpose.” (Id. at p. 7.)

However, to establish that Plaintiffs were not third-party beneficiaries to the Representation Contract, L&H relies solely on statements in the HA Opinion. L&H does not discuss the or establish the terms of the alleged oral or implied-in-fact Representation Contract. Nor does L&H address the allegation in the SAC that an oral conversation on November 26, 2018, between David Bunevacz and Defendant Armstrong extended and amended the oral Representation Contract between Borrowers and L&H for the provision of legal services, and which amendment expressly identified Plaintiffs as the beneficiaries of the HA Opinion. (SAC, ¶ 58.) L&H additionally does not address the allegation that Bunevacz emailed Armstrong confirming the terms of the oral extension to the Representation Contract by directing Armstrong to provide the HA Opinion to Plaintiffs, and that both Borrowers and L&H understood and intended that the HA Opinion be created for the benefit of Plaintiffs within the scope of Defendants’ representation of the Borrowers. (Ibid.)

Where a moving parties’ separate statement does not address a material fact in the complaint, it does not assert a prima facie case of entitlement to summary judgment and does not shift the burden to plaintiff to file an opposing separate statement. (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 159, 160.) “A summary judgment may not be granted when the moving party has failed to ‘refute [a] tenable pleaded theor[y].’ [Citation.]” (*Id.* at pp. 161-162.) Where a defendant fails to establish every fact necessary to show the causes of action against them are without merit, they fail to meet their initial burden and the motion must be denied. (*Cates v. California Gambling Control Com.* (2007) 154 Cal.App.4th 1302, 1310.)

Based on the foregoing, L&H fails to meet its initial burden to show that Plaintiffs cannot maintain their first cause of action

		for breach of contract because Plaintiffs cannot establish they were third-party beneficiaries of the HA Opinion. Though the burden does not shift to Plaintiffs, in opposition, Plaintiffs submit evidence supporting the aforementioned allegations, along with evidence of communications between Plaintiffs' counsel, Wayne Egan at WeirFoulds LLP, and Armstrong where Armstrong provided information to Plaintiffs, as requested, which was needed to close the loan, and which create a triable issue of material fact as to whether Plaintiffs were third-party beneficiaries of the Representation Contract. (Declaration of Wayne Egan ("Egan Decl."), ¶¶ 1, 3-14, Exs. 1, 2, 5-13.) Plaintiffs correctly argue that the HA Opinion is specifically directed to Plaintiffs and their counsel. (See Ex. 13 to Egan Decl.) L&H relies on <i>Goodman v. Kennedy</i> (1976) 18 Cal.3d 335 ("<i>Goodman</i>"), as holding that attorneys owe no duty to nonclient third parties who rely on advice given by the attorneys to their client, but that case is factually distinctive as there was no allegation that the advice was ever communicated to plaintiffs, and thus, there was no basis for any claim that the plaintiff relied upon it in purchasing or retaining the stock. (<i>Goodman v. Kennedy</i> (1976) 18 Cal.3d 335, 343.) The advice was also not given for the purpose of enabling defendant's clients to discharge any obligation to plaintiffs. (<i>Ibid.</i>) For this reason, the Court in <i>Goodman</i> stated: "We are therefore not concerned with such cases as <i>Roberts v. Ball, Hunt, Hart, Brown & Baerwitz</i> (1976) 57 Cal.App.3d 104, 110-111 [128 Cal.Rptr. 901], in which an attorney gives his client a written opinion with the intention that it be transmitted to and relied upon by the plaintiff in dealing with the client. In that situation the attorney owes the plaintiff a duty of care in providing the advice because the plaintiff's anticipated reliance upon it is 'the end and aim of the transaction' (<i>Glanzer v. Shepard</i> (1922) 233 N.Y. 236, 238-239 [135 N.E. 275, 23 A.L.R. 1425])." (Id. at p. 343, fn. 4.) In contrast, here, the SAC alleges, and the motion does not address the material allegations, that Plaintiffs were the recipients of legal services and express opinions provided by L&H in the HA Opinion, other draft opinions, and legal advice given to Plaintiffs, that L&H knew that Plaintiffs would benefit from the Representation Contract and that Plaintiffs could be harmed by any breach of the Representation Contract by L&H, and that the HA Opinion was rendered by HA and Armstrong for the purpose of influencing Plaintiffs' decision to loan funds to L&H's clients, i.e., the Borrowers. L&H also cites to <i>Fox v. Pollack</i> (1986) 181 Cal.App.3d 954 as support for finding no duty where a seller's attorney drafted a real estate contract and the buyers alleged reliance on that
--	--	---

attorney's work. However, there, the Court of Appeal found that an attorney owed no duty to nonclients where the attorney did not render any legal advice to the nonclients and merely prepared documents for an agreement to exchange parcels of real property, the plaintiffs' only contact with the attorney was at a meeting on the date, that the plaintiffs had no prior contact with the attorney, that the plaintiff did not request any legal advice from the attorney, among other things. (*Fox v. Pollack* (1986) 181 Cal.App.3d 954, 957-958.)

In contrast, here, Armstrong communicated directly with Plaintiffs from November 1, 2018, up until the HA Opinion was sent to Plaintiffs on December 20, 2018, which indicates that legal advice was requested and provided to Plaintiffs. (See Egan Decl., ¶¶ 3-14.)

L&H additionally cites to *Skarbrevik v. Cohen, England & Whitfield* (1991) 231 Cal.App.3d 692, which is likewise distinguishable. The plaintiff did not have close interaction, or any interaction at all, with the defendant attorneys during the time period in which the legal services sued upon were rendered and the evidence at trial established that no relationship of trust and confidence existed between plaintiff and the defendant attorneys which would give rise to a fiduciary duty. (*Skarbrevik v. Cohen, England & Whitfield* (1991) 231 Cal.App.3d 692, 705 ("Skarbrevik").) Instead, as noted by the Court of Appeal in *Skarbrevik*, Roberts involved a third party that was expressly intended to receive the benefit of the attorney's work or advice such that the imposition of a duty of care to the third party was both reasonable and expected. (*Id.* at p. 702.)

Here, as stated above, the allegations in the SAC and the evidence submitted by Plaintiffs show repeated interactions with L&H during the time period in which the legal services sued upon were rendered.

The Court's prior ruling on demurrer is not determinative as the standard on a demurrer is not identical to a standard on a motion for summary judgment which places the burden of production and persuasion on the moving party.

The Court therefore DENIES the motion for summary adjudication as to the first cause of action (Issue No. 1).

*Second Cause of Action for Breach of Fiduciary Duty
Issue No. 2: Plaintiffs Cannot Legally Establish that
Defendant Lockett & Horwitz Breached a Fiduciary Duty as
Plaintiffs were Never Clients of Defendant Lockett & Horwitz
Nor were Plaintiffs Legally Intended Beneficiaries of the Legal
Opinion so the Second Cause of Action Legally Fails.*

Issue No. 3: A Fiduciary Duty Does Not Legally Arise from the Delivery of a Legal Opinion so the Second Cause of Action Legally Fails.

L&H contends that Plaintiffs cannot establish a breach of fiduciary duty as Plaintiffs were never clients or intended beneficiaries. L&H also contends that the fiduciary-duty claim fails because Plaintiffs' alleged reliance was not reasonable.

Plaintiffs contend that a fiduciary relationship existed between L&H and Plaintiffs; that the existence of a fiduciary relationship is question of fact; and that Armstrong's communications with Plaintiffs for seven weeks where Armstrong claimed detailed personal knowledge of the Fraudulent Borrowers' operations, claimed to conduct diligence, prepared UCC filings, Notes, Warrants, and corporate resolutions purportedly to protect Plaintiffs' security interests, and told Plaintiffs they were "presently secured" is a question for jury. Plaintiffs also contend that *Chang v. Lederman* (2009) 172 Cal.App.4th 67 does not stand for the proposition that fiduciary duties cannot extend to adverse parties; that L&H concedes that an attorney can owe a duty to a nonclient; and that such conditions are satisfied here. Plaintiffs additionally assert that their reliance on L&H was reasonable, and is a question of fact for the jury; that *Greycas, Inc. v. Proud* (7th Cir. 1987) 826 F.2d 1560 is factually identical to the present case; and that L&H fails to address the factual misrepresentations outside the HA Opinion which give rise to fiduciary duties to Plaintiffs, in addition to the preparation and delivery of the HA Opinion.

The three elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 820.)

"The imposition of a duty of professional care toward nonclients has generally been confined to those situations wherein the nonclient was an intended beneficiary of the attorney's services, or where it was reasonably foreseeable that negligent service or advice to or on behalf of the client could cause harm to others." (*Fox v. Pollack* (1986) 181 Cal.App.3d 954, 960.) "However, an attorney has no duty to protect the interests of an adverse party [citations] for the obvious reasons that the adverse party is not the intended beneficiary of the attorney's services, and that the attorney's undivided loyalty belongs to the client. [Citation.] The same principles apply to transactions wherein the nonclients deal at arm's length with the attorney's clients. Goodman resolved 'the legal question of whether or under what circumstances an attorney's duty of care in giving legal advice to a client extends to persons with whom the client in acting upon the advice deals wholly at arm's length [Attorneys have] no

such duty in the absence of any showing that the legal advice was foreseeably transmitted to or relied upon by [the nonclients] or that [the nonclients] were intended beneficiaries of a transaction to which the advice pertained.’ [Citation.]” (*Id.* at p. 961.)

Here, the second cause of action realleges the allegations set forth above as to the first cause of action, and alleges that “Defendants owed Plaintiffs fiduciary duties because Plaintiffs were among the intended beneficiaries of the legal services and opinions that Defendants provided to Borrowers, which services and opinions Defendants knew and understood Plaintiffs would rely on in their decision to fund loans to the Borrowers.” (SAC, ¶¶ 66-67.) The SAC generally alleges that in November 2018, Plaintiffs commenced formal legal negotiations with Bunevacz regarding the provision of the series of loans to the Borrowers; that in October or November 2018, Bunevacz introduced Plaintiffs’ attorney, Wayne Egan, to Armstrong of HA, the Borrowers’ legal representatives; that Armstrong owed Plaintiffs fiduciary duties of care and good faith, as he was providing legal advice, opinions, and expertise to Plaintiffs on the cannabis licensing regime in California and the Borrowers’ organizational structure and business operations, upon which he knew and understood that Plaintiffs would be relying as they determined whether to undertake the proposed loans to the Borrowers; and that Armstrong also owed Plaintiffs fiduciary duties in that the HA Opinion and related information he provided was intended to influence and persuade Plaintiffs to provide the proposed loans for the benefit of his clients, the Borrowers.” (*Id.*, ¶¶ 20-21.) It is alleged that Armstrong expected and intended Plaintiffs to rely on the HA Opinion, as he worked closely with Plaintiffs and Egan to prepare the HA Opinion according to their specific instruction and feedback.” (*Id.*, ¶ 22.)

The second cause of action alleges that as Plaintiffs’ fiduciaries, Defendants owed duties of care to act in good faith and in Plaintiffs’ interests as well as to give full and frank disclosure. (SAC, ¶ 68.) It is alleged that “Defendants breached their fiduciary duties to Plaintiffs by at least one of the following actions (1) failing to provide legal services with such skill, prudence and diligence as lawyers of ordinary skill and capacity commonly possess, (2) recklessly failing to disclose material facts which Defendants knew, or should have known, were contrary to Plaintiffs’ interests and was likely to affect Plaintiffs decision, and/or (3) taking actions intentionally and with malice, and contrary to Plaintiffs’ best interests by failing to provide full and frank disclosure of material facts with the intention of influencing Plaintiffs to take decisions that were detrimental to their best interests.” (*Id.*, ¶ 69.) It is also alleged: “Armstrong provided Plaintiffs with much information regarding his purported personal knowledge of the Borrowers’ business practices as well as the Borrowers’ purported business dealings with HA’s other

clients in the cannabis industry in order to provide the appearance of being knowledgeable and trustworthy in Defendants' role of fiduciary to Plaintiffs." (Id., ¶ 70.) It is additionally alleged that Defendants directly benefited from the funding of the loans, that Plaintiffs were harmed by loaning \$4.6 million to Borrowers, which loans Borrowers defaulted on within months of the provision of the loans; that had the HA Opinion and Defendants' representations to the Plaintiffs honestly described the non-existence of the Collateral and the lack of the Borrowers' business operations in the cannabis industry, Plaintiffs would have not made the loans to Borrowers; and that "Defendants' actions were a substantial factor in causing Plaintiffs' harm, which harm was foreseeable in light of Defendants' intentional misstatements and/or intentional failure to investigate the Borrowers." (Id., ¶¶ 71-73.) It is further alleged: "Defendants knew that Plaintiffs would rely on their legal advice, factual statements, and the HA Opinion. Indeed, Defendants intentionally provided legal advice, factual statements, and the HA Opinion in such a manner so as to influence Plaintiffs to grant, rather than decline, loan funding to the Borrowers." (Id., ¶ 76.) Initially, for the second issue on summary adjudication, L&H relies on the same material facts asserted for the first issue on summary adjudication.

L&H fails to meet its initial burden to show that it did not owe Plaintiffs fiduciary duties because Plaintiffs were not intended beneficiaries of the legal services and opinions that L&H provided for the same reason discussed above as to the first cause of action.

Additionally, the evidence presented by Plaintiffs, as set forth above, creates a triable issue of fact as to the existence of a fiduciary relationship. "Generally, the existence of a confidential relationship is question of fact for the jury or the trial court. [Citations.]" (*Barbara A. v. John G.* (1983) 145 Cal.App.3d 369, 383.)

L&H cites to *Chang v. Lederman* (2009) 172 Cal.App.4th 67 for the proposition that an attorney's duty of loyalty cannot extend to an adverse party. However, *Chang* does not stand for this proposition, and provides for "an enforceable duty of care in cases involving a negligently drafted or executed testamentary instrument when the plaintiff was an expressly named beneficiary of an express bequest." (*Chang v. Lederman* (2009) 172 Cal.App.4th 67, 82.)

L&H also argues in conclusory fashion that imposing such a duty here would have required L&H to act against the interests of their client, violating Rule 1.7 of the California Rules of Professional Conduct. L&H cites to no facts or evidence, let alone discusses Rule 1.7, and thus, fails to establish any violation of Rule 1.7 under the facts here.

Lastly, L&H argues that the fiduciary duty claim fails because Plaintiffs' alleged reliance was not reasonable, citing to *Skarbrevik* for the proposition that sophisticated parties with independent counsel cannot justifiably rely on statements of opposing counsel. However, *Skarbrevik* did not determine that no duty was owed because the parties involved were sophisticated with independent counsel. Instead, the Court of Appeal in *Skarbrevik* found that the evidence at trial established no relationship of trust and confidence between plaintiff and the defendant attorneys which would give rise to a fiduciary duty where the plaintiff did not have a close interaction, or any interaction at all, with the defendant attorneys during the time period in which the legal services sued upon were rendered and where there was no basis for plaintiff to place faith, confidence or trust in the corporation's attorney to protect his interests as a shareholder of the corporation. (*Skarbrevik, supra*, 231 Cal.App.3d at pp. 698-696, 705.)

Based on the foregoing, the Court DENIES the motion for summary adjudication as to Issue No. 2 (second cause of action).

As to Issue No. 3, which provides that a fiduciary duty does not arise from a legal opinion such that the second cause of action fails, it does not resolve the cause of action.

"Summary adjudication must completely dispose of the cause of action to which it is directed. [Citations.]" (*Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 251.) This is because L&H fails to address the allegations in the SAC for the basis of a fiduciary duty which does not rest solely on the HA Opinion, but also includes other information and representations made by Armstrong. (See SAC, ¶¶ 11, 21, 22, 35, 66, 70, 72, 76.) Consequently, the Court DENIES the motion for summary adjudication as to Issue No. 3 (second cause of action).

Third Cause of Action for Negligent Misrepresentation
Issue No. 4: Plaintiffs Cannot Legally State a Negligent Misrepresentation Cause of Action Against Defendant Lockett & Horwitz so the Third Cause of Action Against Defendant Lockett & Horwitz Legally Fails.

L&H contends that Plaintiffs' negligent misrepresentation claim fails because California law squarely holds that legal opinions, standing alone, are not actionable as negligent misrepresentation, and that the HA Opinion contains legal conclusions, not factual assertions. L&H also contends that there are no allegations in the SAC that L&H knowingly made false statements of fact and there is not a cause of action for intentional misrepresentation. Additionally, L&H contends that disclaimers of factual investigation, as here, negate

		reasonable reliance, that California law limits third-party professional liability, and that Plaintiffs were adverse parties represented by independent counsel. Plaintiffs contend that the claim for negligent misrepresentation is not barred as a matter of law; that L&H's argument that California law does not recognize causes of action against any attorney for negligent misrepresentation is incorrect and unsupported; that L&H's assertion that a statement of a legal opinion is not actionable as negligent misrepresentation and that attorneys cannot be held liable to nonclients absent intentional fraud does not exist; and that every authority cited by L&H either does not say what L&H claims, addresses a different tort or a different question, or holds the opposite. Plaintiffs also contend that even if L&H's assertion that negligent misrepresentation cannot be based on legal opinion were true, Plaintiffs' claims are based upon nearly two months of false factual assertions made by Defendants to Plaintiffs regarding the Borrowers in response to myriad questions regarding how the Borrowers' operated, which L&H fails to acknowledge or address, and that the HA Opinion itself also contains factual misrepresentations. Plaintiffs additionally contend that the HA Opinion's disclaimer of investigation is at odds with Armstrong's stated behavior. The elements of a claim for negligent misrepresentation are "(1) the defendant made a false representation as to a past or existing material fact; (2) the defendant made the representation without reasonable ground for believing it to be true; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages. [Citation.]" (<i>Majd v. Bank of America, NA</i> (2015) 243 Cal.App.4th 1293, 1307.) "[A] positive assertion is required; an omission or an implied assertion or representation is not sufficient. [Citations.]" (<i>Apollo Capital Fund, LLC v. Roth Capital Partners, LLC</i> (2007) 158 Cal.App.4th 226, 243.) " 'An attorney may be liable for damage caused by his negligence to a person intended to be benefited by his performance irrespective of any lack of privity of contract between the attorney and the party to be benefited. [Citation.] The liability sounds in tort. [Citation.] . . . ' [Citations.]" (<i>Roberts v. Ball, Hunt, Hart, Brown & Baerwitz</i> (1976) 57 Cal.App.3d 104, 110.) Here, initially, the third cause of action realleges the prior allegations set forth above, and again alleges that "Defendants owed Plaintiffs a duty of care because Plaintiffs were among the intended beneficiaries of the HA Opinion, upon which Defendants knew that Plaintiffs would rely in making significant financial decisions" (SAC, ¶ 79.) It is
--	--	---

		alleged that Defendants made the following misrepresentations of material facts or statements omitting or presenting only partial material facts to Plaintiffs, and all of which statements have since been revealed as false: a. "The Security Documents create a valid security interest in favor of the Lenders in the personal property comprising the collateral described therein in which any of the Borrowers now has rights, and is sufficient to create a valid security interest in favor of the Lenders in any personal property comprising the collateral described therein in which any of the Borrowers hereafter acquires rights, when those rights are subsequently acquired by such Borrower, to secure payment and performance of the obligations described therein as being secured thereby." (Exhibit 14, HA Opinion, page 5, ¶ 7, emphasis added.) b. "CB Holdings Group presently sells electronic vape pens and CBD oil." (Id., page 6.) c. "[CaeserBrutus, LLC "CB"] has successfully developed both brands and strong commercial relationships in both the business to business and consumer markets with its branded vape pens and CBD oil cartridges." (Exhibit 21, November 29, 2018 Draft Opinion Letter.) d. "CB has contracts to operate a licensed cannabis growing operation and is negotiations to operate a licensed volatile cannabis manufacturing and distribution business with Goodness4Life in Huntington Park, California in Los Angeles County in addition to its vape pens and CBD operations..." (Id.) e. "Regarding financing, CB has signed a letter of intent to borrow money secured by all its business assets, including its inventory and accounts receivables, as well as its real and personal property of CB's principals with the expectation that this debt will be later converted into equity by lender to effectively have CB operating debt free after obtaining capital it needs to expand its present CBD vape pen operations and to enable it to grow, manufacture, and distribute cannabis oil all on its own in the future, thereby reducing its operating costs for its future cannabis operations under the Goodness4Life license." (Id.) f. "First the pens are ordered in China and then delivered to where the pens are assembled with their cartridges loaded with CBD; usually a distributor buys the pens and cartridges from [D Bunevacz] for cash-distributors generally not extended credit so a UCC-1 would attach to the inventory and to the cash." (Exhibit 22, December 10, 2018 email chain.)
--	--	--

(SAC, ¶ 81.)

The third cause of action additionally alleges that Armstrong “provided Plaintiffs with information regarding his purported personal knowledge of the Borrowers’ business practices as well as the Borrowers’ purported dealings with HA’s other clients in the cannabis industry in order to provide the appearance of being knowledgeable and trustworthy such that Plaintiffs would rely on his representations. This is confirmed by Armstrong’s statements throughout the emails exchanged between the parties while working to arrive at a final draft of the HA Opinion, as well as in the HA Opinion, which noted that “[t]he knowledge referred to in paragraphs 4 below is derived solely from a review by us of our own records and the actual knowledge of the lawyers principally involved in the transactions described in this letter.” (Exhibit 14, HA Opinion, page 4)(emphasis added.)” (SAC, ¶ 83.) Plaintiffs allege that given that the Borrowers’ business has now been shown to be entirely fraudulent and nonexistent, it is clear that Armstrong and HA were either negligently or intentionally misrepresenting these facts or withholding material facts regarding the Borrowers in order to persuade Plaintiffs to fund \$4.6 million in loans to the Borrowers. (Id., ¶ 82.)

As a threshold matter, contrary to L&H’s contentions that a statement of a legal opinion is not actionable as negligent misrepresentation, *Roberts v. Ball, Hunt, Hart, Brown & Baerwitz* (1976) 57 Cal.App.3d 104 (“Roberts”) supports that a claim for negligent misrepresentation may be maintained against an attorney who prepares a legal opinion by a third person who was intended to be benefited by the attorney’s performance and is injured by his negligent execution of that duty. (*Roberts, supra*, 57 Cal.App.3d at p. 111.)

Indeed, L&H cites to *Shafer v. Berger, Kahn, Shafon, Moss, Fingler, Simon & Gladstone* (2003) 107 Cal.App.4th 54 (“*Shafer*”), which states, “ ‘In general, a lawyer who makes a fraudulent misrepresentation is subject to liability to the injured person when the other elements of the tort are established’ (Rest.3d, Law Governing Lawyers, § 98, com. g, p. 61.) This rule ‘applies equally to statements made to a sophisticated person, such as to a lawyer representing another client, as well as to an unsophisticated person.’ (Id., com. b, p. 59.) ‘Misrepresentation is not part of proper legal assistance; vigorous argument often is. Thus, lawyers are civilly liable to clients and nonclients for fraudulent misrepresentation, but are not liable for such conduct as using legally innocuous hyperbole or proper argument in negotiations ... or presenting an argument to a tribunal in litigation.’ (Id., § 56, com. f, p. 418.)” (*Shafer, supra*, 107 Cal.App.4th at p. 69-70.)

		L&H cites to <i>Vega v. Jones, Day, Reavis & Pogue</i> (2004) 121 Cal.App.4th 282 which cites to <i>B.L.M. v. Sabo & Deitsch</i> (1997) 55 Cal.App.4th 823, and provides "third parties may recover against an attorney under a negligent misrepresentation theory, in cases involving misrepresentations of fact rather than legal opinions. [Citation.]" However, L&H does not address the material allegations set forth above in the third cause of action as to specific alleged misrepresentations within the HA Opinion, in a draft opinion letter, and in an email communication, and does not show that each of the alleged misrepresentation was a legal opinion as opposed to a misrepresentation of fact. (SAC, ¶¶ 82-92.) Nor does L&H address the material allegation that L&H made either negligent or intentional misrepresentations. (SAC, ¶ 83.) Contrary to L&H's assertion that Plaintiffs do not allege that Defendants knowingly made false factual statements and do not plead intentional fraud, the allegations in the SAC under the third cause of action do so allege. In order to be entitled to summary judgment, a moving party must defeat all theories asserted as to a cause of action alleged in a complaint. (<i>Marketing West, Inc. v. Sanyo Fisher (USA) Corp.</i> (1992) 6 Cal.App.4th 603, 613 ["in order to be entitled to summary judgment, respondent had to defeat that theory [fraud based on concealment] in addition to the fraud based on affirmative misrepresentation" and the burden is on respondent to negate at least one element of the action for fraud based on concealment].) "[I]f the showing by the defendant does not support judgment in his favor, the burden does not shift to the plaintiff and the motion must be denied without regard to the plaintiff's showing. [Citation.]" (<i>Crouse v. Brobeck, Phleger & Harrison</i> (1998) 67 Cal.App.4th 1509, 1534.) Based on the foregoing, L&H fails to meet its burden to show that Plaintiffs cannot state a negligent misrepresentation cause of action against it. The Court DENIES the motion for summary adjudication as to the third cause of action (Issue No. 4). <i>All Causes of Action</i> <i>Issue No. 5: All of Plaintiffs Causes of Action Against Lockett & Horwitz are Raised After the Expiration of the Statute of Limitations so All Causes of Action Legally Fail.</i> L&H contends that Plaintiffs' claims are time-barred under Code of Civil Procedure sections 340.6 and 339, which impose a one-year limitations period against attorneys arising out of the performance of professional services, and two-year limitations period for breach of contract and breach of fiduciary duty, respectively.
--	--	---

		Plaintiffs contend the claims are not time-barred; that this Court already decided the statute of limitations question in L&H's November 2023, demurrer ruling and held that Plaintiffs' claims accrued in April 2022 when they received the SEC complaint revealing that the HA Opinion's representations were false and the collateral was fictitious, and that all claims were timely under Code of Civil Procedure section 340.6. Plaintiffs assert that L&H attempts to avoid the prior ruling by now arguing that Code of Civil Procedure section 339 which provides a two-year statute of limitations for oral contract and fiduciary duty applies, but that this is incorrect, and that even if Section 339 applied, the discovery rule governs accrual of the claims and the two-year period would run from April 2022, making the March 2023 filing timely. "A plaintiff must bring a claim within the limitations period after accrual of the cause of action." (<i>Fox v. Ethicon Endo-Surgery, Inc.</i> (2005) 35 Cal.4th 797, 806.) "Generally speaking, a cause of action accrues at 'the time when the cause of action is complete with all of its elements.' [Citations.] An important exception to the general rule of accrual is the 'discovery rule,' which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action." (<i>Id.</i>, at pp. 806-807.) "A plaintiff has reason to discover a cause of action when he or she 'has reason at least to suspect a factual basis for its elements.'" (<i>Id.</i>, at p. 807.) "The discovery rule only delays accrual until the plaintiff has, or should have, inquiry notice of the cause of action." (<i>Ibid.</i>) "Section 340.6 states two distinct and alternative limitations periods: One year after actual or constructive discovery, or four years after occurrence (the date of the wrongful act or omission), whichever occurs first. The statute applies to an action for malpractice as well as a breach of fiduciary duty arising out of the performance of an attorney's duties. [Citation.]" (<i>Britton v. Girardi</i> (2015) 235 Cal.App.4th 721, 732-733.) "Under Code of Civil Procedure section 340.6, . . . , the one-year period is triggered by the client's discovery of 'the facts constituting the wrongful act or omission,' not by his discovery that such facts constitute professional negligence, i.e., by discovery that a particular legal theory is applicable based on the known facts. 'It is irrelevant that the plaintiff is ignorant of his legal remedy or the legal theories underlying his cause of action. Thus, if one has suffered appreciable harm and knows or suspects that professional blunderings is its cause, the fact that an attorney has not yet advised him does not postpone commencement of the limitations period.' [Citations.]" (<i>Worton v. Worton</i> (1991) 234 Cal.App.3d 1638.)
--	--	---

		L&H's argument is premised upon an assertion that Plaintiff's SAC concedes that they discovered their harm by June 30, 2019, citing to the SAC. (SSUMF, 171.) In L&H's demurrer to the original Complaint, L&H similarly argued that Plaintiffs' claims for breach of contract and breach of fiduciary duty were barred by Code of Civil Procedure section 340.6 based on the allegations of the Complaint. This argument was rejected as the Court concluded that the allegations of the Complaint supported that Plaintiffs discovered facts constituting the wrongful act or omission by L&H in April 2022, such that the Complaint filed on March 13, 2023, was timely. (Ex. 2 to L&H's RJN.) L&H cites only to paragraph 14 of the SAC and presents no other evidence supporting that Plaintiffs discovered their harm by June 30, 2019. Paragraph 14 of the SAC alleges: "Between April and June 2019, the Borrowers defaulted on the Four Loans. Consequently, on October 23, 2019, Plaintiffs filed a lawsuit in the Superior Court for the State of California, County of Los Angeles, against D Bunevacz, the Borrowers, and the Personal Guarantors seeking damages and/or to exercise their rights over the allegedly secured property (the '2019 California Claim'). A true and correct copy of the 2019 California Claim is attached as Exhibit 1." (SAC, ¶ 14.) However, L&H again ignores the material allegations of the SAC, which also allege that in April 2022, Plaintiffs received an advanced copy of a complaint that the Securities and Exchange Commission ("SEC") intended to file in the US District Court for the Central District of California against Bunevacz, CBH, Brutus California, and others, and that after reading this Complaint, "Plaintiffs learned they had been the victims of an offering fraud and Ponzi scheme, and that the Borrowers were sham businesses that D Bunevacz used to raise over US \$39,000,000 from at least 40 investors (including Plaintiffs)." (SAC, ¶¶ 16-17.) The SAC additionally alleges that as a result of the SEC Complaint, "it became clear to the Plaintiffs that, contrary to the assurances contained in the HA Opinion, the security over the loans and guarantees provided by the Borrowers and their shareholders were completely invalid and unenforceable, and indeed, much of the collateral did not even exist." (SAC, ¶ 18.) By failing to submit evidence showing that Plaintiffs discovered their alleged harm by June 30, 2019, and failing to address allegations supporting the application of the discovery rule, L&H fails to meet its initial burden to establish that it is entitled to summary judgment on the ground that all claims are barred by the statute of limitations. The Court DENIES the motion for summary judgment/adjudication as to all causes of action on the basis that they are barred by the statute of limitations (Issue No. 5).
--	--	--

		Additionally, though the motion must be denied without regard to Plaintiffs showing under these circumstances, Plaintiffs provide evidence that the sham nature of the Borrowers' entire enterprise and the lack of any actual collateral was discovered on or about April 4, 2022, which creates a triable issue of material fact as to when Plaintiffs discovered facts constituting their claims. (Egan Decl., ¶ 19.) <i>Plaintiffs to give notice.</i>
109	BKC Entertainment LLC vs. K1 Speed Franchising, Inc., 23-01317103	Defendants K1 Speed Franchising, Inc., Kart 1, LLC, Protex Karting Barrier, LLC, David Danglard, and Uli Perez and Cross-Complainants K1 Speed, Inc., K1 Speed Franchising, Inc., and Protex Karting Barrier, LLC ("Defendants") move for summary adjudication of the fourth through eighth causes of action asserted by plaintiff BKC Entertainment LLC ("BKC" or "Plaintiff") on the ground that they are preempted by the California Franchise Investment Law (CFIL). Plaintiff's unopposed request for judicial notice is GRANTED. (Evid. Code, § 452(c).) Plaintiff alleges causes of action for violations of section 31110, 31200, and 31201 of the CFIL. Sections 31200 and 31201 make it unlawful to make any untrue statement of material fact (or omit the same) in any application, notice or report filed with the commissioner under the CFIL and to offer or sell a franchise by any written or oral communication which includes an untrue statement of material fact or omits a material fact, respectively. When the parties entered into the subject franchise agreements, section 31306 read: "Except as explicitly provided in this chapter, no civil liability in favor of any private party shall arise against any person by implication from or as a result of the violation of any provision of this law or any rule or order hereunder. Nothing in this chapter shall limit any liability which may exist by virtue of any other statute or under common law if this law were not in effect." Defendants cite <i>Samica Enterprises, LLC v. Mail Boxes Etc. USA, Inc.</i> (C.D. Cal. 2008) 637 F.Supp.2d 712. The defendants there argued that the plaintiffs' common law claims for fraud and negligent misrepresentation were preempted by section 31306 of the CFIL. (<i>Id.</i> at p. 721.) The Samica court held that "section 31306 is best understood as displacing those claims that rest on misrepresentations or omissions covered by the several provisions of the CFIL, and the saving clause merely clarifies that the CFIL does not completely preempt the field" and that "[t]his straightforward interpretation gives meaning to both sections, reconciles any perceived inconsistency, and comports with fundamental principles of statutory construction." (<i>Ibid.</i>)

		Plaintiff cites to <i>Bowden v. Robinson</i> (1977) 67 Cal.App.3d 705 in support of the opposite conclusion. In <i>Bowden</i>, the Court of Appeal held that Corporations Code section 25510, which is identical to section 31306 of the CFIL, should be interpreted as supplementing rather than displacing common law fraud. (67 Cal.App.3d at p. 716.) As the Court previously held in overruling the Demurrer filed by some of the Defendants, given that section 31306 and section 25510 are identical, there is no reason why the reasoning in <i>Bowden</i> should not apply here. Further, that reasoning is sound. The <i>Bowden</i> court noted that Corporations Code section 25006 defined "fraud," "deceit," and "defraud" as not being limited to common law fraud or deceit and held that sections 25006 and 25510 read together "express a clear legislative intent . . . to supplement common law causes of action, not to repudiate them." (Id. at p.716.) Here, the CFIL also has a virtually identical provision in section 31012, which provides: " 'Fraud' and 'deceit' are not limited to common law fraud or deceit." Pursuant to <i>Bowden</i>, sections 31306 and 31012 read together express a legislative intent to supplement common law causes of action rather than repudiate them. While <i>Samica</i> reached the opposite conclusion, it is not controlling on this Court. Thus, the Court finds that the causes of action are not preempted. Because the Court finds no preemption, it need not reach the arguments regarding retroactivity of the amended section 31306 or whether Plaintiff's causes of action are based on post-sale misrepresentations. In accordance with the above, the Motion for Summary Adjudication is DENIED. <i>Moving party to give notice.</i>
110	Daniels vs. Balderas, 25-01515105	Defendants Guillermo E. Balderas (sued as Ernie Balderas) ("Balderas"), Angelica Garcia (sued as Angelique Garcia) ("Garcia"), Vicente Lopez, Yesenia Mendoza ("Mendoza"), and Carlos Portillo (sued as Carlos Porpillo) (collectively, "Superior Court Defendants") seek an order sustaining their demurrer to the first, second, third, fourth, fifth, and sixth causes of action of the Complaint filed by Plaintiff Dominique Daniels, based on failure to state sufficient facts to constitute a cause of action. (ROA 109) Defendants also seek to strike Page 52, Prayer for Relief Paragraph 5, which provides: "Punitive damages according to proof." (ROA 104) As a threshold matter, before filing a demurrer, the demurring party must meet and confer in person, by video conference, or by telephone with the party who filed the pleading to attempt to reach an agreement that would

		resolve the objections to the pleading and obviate the need for filing the demurrer. [CCP § 430.41] Likewise, a party must meet and confer before filing a motion to strike. [CCP §§ 435.5] It is apparent that no meet and confer has taken place as to the substance of the motions as required by CCP §430.41 and CCP §435.5. Motions are continued to August 20, 2026 at 1:30 p.m. for counsel for Moving Defendants and Plaintiff to meet and confer pursuant to CCP §430.41. Nine (9) Court days prior to the continued hearing date, Defense counsel is ordered to file a supplemental declaration establishing the results of the meet and confer. The Court further notes that the use of hyperlinks is inappropriate and will be disregarded. The Case Management Conference is also continued to August 20, 2026 at 1:30 p.m. <i>Clerk to give notice.</i>
111	LUC vs. MAI, 26-01568185	Defendants Jimmy Mai and Tiffany Mai ("Defendants") move for an order expunging the Notice of Pendency of Action filed by plaintiff Mimi Diem Luc ("Plaintiff") and awarding them attorney's fees and costs against Plaintiff. "A lis pendens—also called a notice of pendency of action—is a document filed with a county recorder that provides constructive notice of a pending lawsuit affecting the real property described in the notice. [Citations.] Any party may record a lis pendens when the lawsuit involves a 'real property claim.' " (<i>Shoker v. Superior Court of Alameda County</i> (2022) 81 Cal.App.5th 271, 275.) "At any time after notice of pendency of action has been recorded, any party, or any nonparty with an interest in the real property affected thereby, may apply to the court in which the action is pending to expunge the notice." (Code Civ. Proc., § 405.30.) "In proceedings under this chapter, the court shall order the notice expunged if the court finds that the pleading on which the notice is based does not contain a real property claim." (Code Civ. Proc., § 405.31.) " 'Real property claim' means the cause or causes of action in a pleading which would, if meritorious, affect (a) title to, or the right to possession of, specific real property or (b) the use of an easement identified in the pleading, other than an easement obtained pursuant to statute by any regulated public utility." (Code Civ. Proc., § 405.4.) A notice of lis pendens shall also be expunged if the claimant has not established by a preponderance of the evidence the

probable validity of the real property claim. (Code Civ. Proc., § 405.32.)

Here, although not pled at the time the motion was filed, Plaintiff pleads a cause of action for quiet title in her First Amended Complaint. The allegations of the petition determine whether a “real property claim” is involved; no independent evidence is required. (*Urez Corp. v. Superior Court* (1987) 190 Cal.App.3d 1141, 1149.) In this case, the quiet title cause of action would affect title to and right to possession of the property at issue. (See Verified FAC ¶¶ 4, 6.) Accordingly, it is a real property claim within the meaning of the statute.

To establish the probable validity of her claim, Plaintiff must show “it is more likely than not that [she] will obtain a judgment” on the real property claim. (*Newell v. Superior Court* (2024) 107 Cal.App.5th 728, 735.)

Plaintiff has failed to meet her burden. Plaintiff contends that she was fraudulently induced into executing escrow documents transferring the subject property to Defendants because Plaintiff’s mother (Tang) told her that Tang owed Defendants money for the construction of an ADU on the property. (Verified FAC ¶ 16.) Additionally, Tang told Plaintiff that substantial medical liens would be recorded on the property if title was not transferred to someone else, due to Plaintiff’s father’s ever-increasing medical expenses. (Verified FAC ¶ 17.) Plaintiff does not deny that she executed various documents on 4/6/25 before a notary public (ROA 40, Luc Decl. ¶ 7.) However, she claims that she did not realize at the time that one of the documents was a grant deed transferring her interest in the property to Defendants. (Ibid.) Plaintiff also denies executing Amended Escrow Instructions on 4/7/25 which purport to show that the consideration for the transfer of the property to Defendants were the loans previously made by Defendants for the construction of the ADA. (Id. at ¶ 10; Mai Decls. ¶¶ 7-8, Exhs. B.)

Based on the assertions in Plaintiff’s verified FAC, however, it appears more likely than not that Plaintiff was aware on 4/6/26 that she was executing documents for the purpose of transferring title to Defendants, and that she did so for the purpose of repaying the construction loan and avoiding medical liens on the property.

Accordingly, the motion to expunge is GRANTED.

Defendants may file a separate motion for attorneys’ fees pursuant to CCP §405.38.

		Defendants' requests for judicial notice are denied as immaterial to the disposition of this motion and because Defendants failed to provide the Court with copies of the subject documents. The Court notes that Plaintiff made several informal requests for judicial notice in the body of her briefs. These requests do not comply with CRC 3.1113(I) and are denied. <i>Defendants to give notice.</i>
112	Alpine Equipment Funding, Inc. vs. Guerra, 23-01328771	Plaintiff/Judgment Creditor, Alpine Equipment Funding, Inc. ("Judgment Creditor"), moves for an order (1) authorizing the Los Angeles County Sheriff to enter private property located at 6409 Planada Avenue, Los Angeles, California, for the limited purpose of levying identified vehicles owned by the Judgment Debtor pursuant to Code of Civil Procedure section 699.030; and (2) authorizing Judgment Creditor, while the Sheriff is executing the levy, to repossess equipment owned by Judgment Creditor and wrongfully retained by the Judgment Debtor, pursuant to Code of Civil Procedure section 187 and applicable commercial law. Judgment Creditor asserts that it seeks a narrowly tailored order authorizing entry onto private property to enforce a valid judgment that has gone unsatisfied despite extensive post judgment enforcement efforts. Judgment Creditor provides that on January 12, 2024, the Court entered a default judgment in favor of Judgment Creditor against Judgment Debtor Mario Guerra, Jr. ("Judgment Debtor") in the amount of \$140,356.85, and that Judgment Debtor has paid nothing towards satisfaction of the judgment and has refused to participate in any post-judgment proceedings. Judgment Creditor contends that it has identified non-exempt assets belonging to Judgment Debtor, including four vehicles titled in his name, which are regularly kept at or around his residence and frequently stored behind a locked six-foot fence, and that Judgment Creditor has probable cause to believe that Judgment Debtor continues to possess specialized equipment owned by Judgment Creditor and leased to Judgment Debtor under equipment finance lease agreements that are in default—namely, the Dancutter System and Perma-Liner pipelining systems (the "Equipment"). Judgment Creditor asserts that because the vehicles and equipment are concealed within a private area inaccessible to the levying officer, Judgment Creditor seeks an order under Code of Civil Procedure section 699.030 authorizing the Sheriff to enter the premises for the limited purpose of levying the identified vehicles as well as seeks authorization under Code of Civil Procedure section 187 to repossess its own equipment while the Sheriff is lawfully present executing the levy. Code of Civil Procedure section 699.030 provides, in part:

"If personal property sought to be levied upon is located in a private place of the judgment debtor:
[¶.]

"(b) The judgment creditor may apply to the court ex parte, or on noticed motion if the court so directs or a court rule so requires, for an order directing the levying officer to seize the property in the private place. The application may be made whether or not a writ has been issued and whether or not demand has been made pursuant to subdivision (a). The application for the order shall describe with particularity both the property sought to be levied upon, and the place where it is to be found, according to the best knowledge, information, and belief of the judgment creditor. The court may not issue the order unless the judgment creditor establishes that there is probable cause to believe that property sought to be levied upon is located in the place described. The levying officer making the levy, at the time delivery of the property pursuant to the order is demanded, shall announce his or her identity, purpose, and authority. If the property is not voluntarily delivered, the levying officer may cause the building or enclosure where the property is believed to be located to be broken open in such manner as the levying officer reasonably believes will cause the least damage, but if the levying officer reasonably believes that entry and seizure of the property will involve a substantial risk of death or serious bodily harm to any person, the levying officer shall refrain from entering and shall promptly make a return to the court setting forth the reasons for believing that the risk exists. In such a case, the court shall make such orders as may be appropriate."

(Code Civ. Proc. § 699.030(b).)

The standard of probable cause has been discussed in the context Fourth Amendment, made applicable to the States by the Fourteenth Amendment, as to the warrantless arrest of an individual in a public place for felony, or misdemeanor committed in the officer's presence. (*Maryland v. Pringle* (2003) 540 U.S. 366, 370.) " '[P]robable cause is a fluid concept—turning on the assessment of probabilities in particular factual contexts—not readily, or even usefully, reduced to a neat set of legal rules.' [Citation.] (*Id.* at pp. 370-371.) "The probable-cause standard is incapable of precise definition or quantification into percentages because it deals with probabilities and depends on the totality of the circumstances. [Citation.]" (*Id.* at p. 371.) "We have stated, however, that '[t]he substance of all the definitions of probable cause is a reasonable ground for belief of guilt,' *ibid.* (internal quotation marks and citations omitted), and that the belief of guilt must be particularized with respect to the person to be searched or seized, *Ybarra v. Illinois*, 444 U.S. 85, 91, 100 S.Ct. 338, 62 L.Ed.2d 238 (1979)." (*Ibid.*)

"Except as otherwise provided by law, all property of the judgment debtor is subject to enforcement of a money judgment." (Code Civ. Proc. § 695.010(a).)

Since obtaining the judgment, Judgment Creditor has made multiple attempts to serve Judgment Debtor, and to communicate with Judgment Debtor to settle this matter, arrange payment terms, or to retrieve the Equipment, but Judgment Debtor has never responded to a single letter, email, or phone call. (Declaration of Dana L. Halle, ¶¶ 2-4.)

Judgment Creditor provides that it has identified four vehicles titled in Judgment Debtor's name that it contends is subject to levy, which includes a white 2021 Ford Truck with California license plate 84755F3, a green 1972 Ford truck with California license plate PURAGRA, a white 2017 Isuzu truck with California license plate 95559M2, and a 2005 US Jet trailer with California license plate 4FM1497. (Declaration of Kellie R. Anguiano ("Anguiano Decl."), ¶¶ 2-6, Ex. E.)

Based on the foregoing, Judgment Creditor has described with particularity four vehicles titled in Judgment Debtor's name which it seeks to levy.

Judgment Creditor also provides that the white 2021 Ford Truck, the green 1972 Ford truck, and the white 2017 Isuzu truck have been observed at or immediately adjacent to or near the Judgment Debtor's residence based on two visits to the residence. (Declaration of James Hilbert ("Hilbert Decl."), ¶¶ 7-9, Exs. F-H.) Specifically, James Hilbert, a 50% owner and an officer of Judgment Creditor personally visited Judgment Creditor's residence located at 6409 Planada Avenue, Los Angeles, California ("Residence") on two occasions: May 21, 2025, at approximately 6:15 a.m. and October 30, 2025, at approximately 7:20 a.m. ("Residence Visits"). (Hilbert Decl., ¶¶ 1, 7.)

Mr. Hilbert provides that there is a six-foot fence surrounding the Residence, and from different vantage points, he could see over the gate and portions of the fence, and observed a white 2021 Ford truck during the Residence Visits, California license plate number 84755F3. (Hilbert Decl., ¶ 7, Ex. F.) The 2021 white Ford truck has VIN 1FD0W4GT6MEC15120, is registered to Judgment Debtor, and there appears to be no liens on this vehicle. (Anguiano Decl., ¶ 3, Ex. E.) Judgment Creditor has established that there is probable cause to believe, i.e., reasonable ground to believe, that the 2021 white Ford truck with California license plate number 84755F3 is located on the Residence property.

Mr. Hilbert also states that during the Residence Visits, he observed a 1972 Ford truck parked on the street immediately

		adjacent to Judgment Debtor's Residence, bearing California license plate number PURAGRA. (Hilbert Decl., ¶ 8, Ex. G.) The 1972 green Ford truck has VIN F10GKP84055, is registered to Judgment Debtor, and there appears to be no liens on this vehicle. (Anguiano Decl., ¶ 4, Ex. E.) This evidence does establish probable cause that the 1972 green Ford truck is "in the private place", i.e., at or on the Residence property. Instead, the evidence submitted supports only that this vehicle was seen adjacent to the Residence property, on what appears to be public property. Mr. Hilbert additionally states that during the Residence Visits, he observed a white 2017 Isuzu truck parked on the street immediately adjacent to Judgment Debtor's Isuzu truck in or around his Residence. (Hilbert Decl., ¶ 9, Ex. H.) The 2017 white Isuzu truck has VIN 54DB4W1B8HS803179, is registered to Judgment Debtor, and the vehicle has a lien with Ally Financial. (Anguiano Decl., ¶ 5, Ex. E.) As with the 1972 green Ford truck, this evidence does establish probable cause that the 2017 white Isuzu truck is "in the private place", i.e., at or on the Residence property. Instead, the evidence submitted supports only that this vehicle was seen adjacent to the Residence property, on what appears to be public property. Lastly, Mr. Hilbert states that "Creditor has probable cause to believe Debtor maintains the Jetter [2005 US Jet trailer] at Debtor's House, sometimes behind the six-foot fence around Debtor's Residence. (Hilbert Decl., ¶ 10, Ex. I.) This statement does not establish probable cause that the 2005 US Jet trailer is located at the Residence. Based on the foregoing, the Court DENIES the requested order to authorize the Los Angeles County Sheriff to enter the Residence to levy the 1972 green Ford truck, the 2017 white Isuzu truck, and the 2005 US Jet trailer. "The court may not issue the order unless the judgment creditor establishes that there is probable cause to believe that property sought to be levied upon is located in the place described." (Code Civ. Proc. § 699.030(b).) The Court GRANTS the requested order to authorize the Los Angeles County Sheriff to enter the Residence to levy the 2021 white Ford truck with California license plate number 84755F3 and VIN 1FD0W4GT6MEC15120. Judgment Creditor also seeks an order authorizing the Judgment Creditor, while the Sheriff is executing the levy, to repossess the Equipment. Judgment Creditor contends that they have probable cause to believe that Judgment Debtor continues to store the Equipment outside the Residence but behind the six-foot fence. They thus request authorization for Judgment Creditor's representative to enter the area inside
--	--	---

	the six-foot fence to repossess the Equipment, solely for the limited purpose of identifying and retrieving Judgment Creditor's property while the Sheriff is present and executing the levy. Judgment Creditor has not established probable cause that the Equipment is located in the Residence or on the Residence property, namely, outside the Residence but behind the six-foot fence. Mr. Hilbert expressly states that he could not see the Equipment on his Residence Visits. (Hilbert Decl., ¶ 7.) Thus, Judgment Creditor fails to make the required showing for an order directing the Los Angeles County Sheriff to seize the Equipment in the private place, i.e., Judgment Debtor's Residence. The Court DENIES the motion as to the request for an order authorizing a representative of Judgment Creditor to be repossess the Equipment while the Los Angeles County Sheriff is executing any levy. <i>Judgment Creditor to give notice.</i>
--	--